FINANCIAL REPORTING CENTRE

Guidance to Reporting Institutions
on

Suspicious Transaction and Activity Reporting

FRC
KENYA
FINANCIAL REPORTING CENTRE

Republic of Kenya

FINANCIAL REPORTING CENTRE

Guidance to
Reporting Institutions
on

SUSPICIOUS TRANSACTION AND ACTIVITY REPORTING

The Financial Reporting Centre acknowledges and is grateful for the contribution and support of the Legal Department of the International Monetary Fund and its technical assistance mission, supported by the multi-donor Topical Trust Fund on Anti-Money Laundering and Combating the Financing of Terrorism, in developing this Guidance.

A publication of the

FRC KENYA

FINANCIAL REPORTING CENTRE

May 2025

www.frc.go.ke

Published by the
Financial Reporting Centre
CBK Pension Fund Building
Harambee Avenue
Private Bag, 00200
Nairobi
0709 858 000 / 0731 944 000
www.frc.go.ke

May 2025

Published with the support of

TABLE OF CONTENTS

1. PRELIMINARY

1.1 Title – Guidance on Suspicious Transaction Reporting

1.2 Application

This Guidance applies to all Reporting Institutions to whom the provisions of POCAMLA apply.

1.3 Definitions / Acronyms

AML – means Anti-Money Laundering
AML/CFT – means Anti-Money Laundering / Combating Financing of Terrorism
CFT – means Combating Financing of Terrorism
FIU – means Financial intelligence Unit
FRC – means Financial Reporting Centre established under Section 21 of the Proceeds of Crime and Anti-Money Laundering Act, 2009.
FT – means Financing of Terrorism
ML – means Money Laundering
PEP – means Politically Exposed Person
POCAMLA – means The Proceeds of Crime and Anti-Money Laundering Act, 2009.
POTA – means the Prevention of Terrorism Act, 2012.

1.4 Introduction

Section 44 (2) of the Proceeds of Crime Anti-Money Laundering Act (POCAMLA) requires all reporting institutions listed in Section 3 of this Guidance to report suspicious transactions or activities of money laundering or proceeds of crime to the Financial Reporting Centre (FRC).

Section 42 of the *Prevention of Terrorism Act 2012 (POTA)* requires financial institutions as defined in Section 3 of this Guidance to report to the FRC instances where they have reasonable grounds to believe that they hold any property or account that is owned or controlled by a terrorist group or that they have information in relation to a transaction which is intended to facilitate the commission of a terrorist act.

If you are one of these persons or entities, this Guidance should help you meet your responsibilities to report suspicious transactions to the FRC. This Guidance contains possible indicators of suspicious transactions and typologies that might be useful in helping you assess whether a transaction or activity is suspicious and should be reported. It also contains useful definitions and interpretations about what to report and how. **This Guidance should not serve as a substitute for your own judgement, based on your knowledge and experience as well as the specific circumstances of the financial transaction. Assessing suspicion cannot be a mechanical, box-checking exercise.** This Guidance should always be read in conjunction with the POCAMLA, the POTA and any regulations issues thereunder. These legislations and regulations take precedence over any guidance provided in this document.

The Guidance has been structured to provide general ML/FT indicators as well as sector specific indicators and typologies. You may want to read the general sections of the documents and focus on the sections that are specific to your sector.

Throughout this Guidance, several references are made to international typologies developed by international organizations and national governments as well as to additional information that may be available on external web sites. The FRC is not responsible for the drafting of the typologies or the accuracy or reliability of the information contained on those external web sites.

2. OVERVIEW OF MONEY LAUNDERING AND TERRORISM FINANCING

2.1 Money Laundering

Money laundering is the processing of criminal proceeds to disguise their illegal origin. If undertaken successfully, it allows criminals to maintain control over illicit funds and, ultimately, to provide a legitimate cover for their source of income.

The process of laundering money can usefully be described as falling into three phases, although in any particular case of laundering, phases may be combined or skipped:

- **Placement** is the initial stage of money laundering wherein the launderer introduces illegal profits into the financial system. This might be done by breaking up large amounts of cash into less conspicuous smaller sums that are then deposited directly into a bank account, or by purchasing a series of monetary instruments (cheques, money orders, etc.) that are then collected and deposited into accounts at another location.

- **Layering** involves converting the proceeds of crime into another form and creating complex layers of financial transactions to disguise the source and ownership of funds to confuse the audit trail. Performing complex transactions is an attempt to conceal the source of illegally acquired funds or the owner of the funds. As a result of this phase, the detection of “dirty money” becomes more complicated. The funds might be channelled through the purchase and sales of investment instruments, or the launderer might simply wire the funds through a series of accounts at various banks across the globe. In some instances, the launderer might disguise the transfers as payments for goods or services, thus giving them a legitimate appearance. This stage may also involve transactions such as the buying and selling of stocks, commodities or property.

- **Integration** is the phase in which the dirty-money reaches its goal when it is integrated into the financial system as part of a flow of legitimate funds. The funds may be attached to other financial instruments or values within the country's financial system thus making detection nearly impossible. This stage may also involve investment into legal business ventures to create the appearance of legitimacy or the purchase of real estate, luxury assets, or other assets for consumption or investment.

In general, money laundering may be accomplished through different methods, ranging from purchasing and reselling of luxury assets (such as houses, land, cars, yachts, artwork or precious metals and stones), to passing money through a complex international web of legitimate businesses and "shell" companies. The criminal's objective in laundering illicit proceeds is to conceal the origin and the ownership of the funds, change the form of the money to recycle it into the economy and control the movement of the funds to avoid detection.

2.2 Terrorist Financing

Terrorism financing is the financing of terrorist acts, and/or, of terrorists and terrorist activity. A notable difference between money laundering and terrorist financing (TF) is that while money laundering seeks to legitimize money from illegal sources, terrorist financing may come from either legal or illegal sources. Furthermore, terrorist financing transactions may not be conspicuous, as the sums used to finance such causes are not always large and the associated transactions are not necessarily complex.

Terrorist financing may be derived from criminal activities such as kidnapping, extortion, fraud or drug trafficking. On the other hand, it may also be derived from legitimate sources such as membership dues, sale of publications, charitable contributions, or income from legitimate business operations owned by terrorist organizations.

The methods used by terrorist organizations to move, collect, hide or make funds available are similar to those utilized by criminal organizations, especially when funds are from illegitimate sources. Regardless of the source, however, terrorist organizations usually seek to obscure or disguise the links between the organization and the funds. Combating the financing of terrorism is aimed at preventing funds to be used in the future where the fight against money laundering is focused on proceeds of crime generated from the past.

3. WHO MUST REPORT SUSPICIOUS TRANSACTION REPORTS (STRs)

Suspicious transaction reporting requirements apply to reporting institutions which include financial institutions and designated non-financial businesses and professions (DNFBPs).

Section 2 of POCAMLA defines a **Financial Institution** as any person or entity, which conducts as a business, one or more of the following activities or operations -

- accepting deposits and other repayable funds from the public;
- lending, including consumer credit, mortgage credit, factoring, with or without recourse, and financing of commercial transactions;
- financial leasing;
- transferring of funds or value, by any means, including both formal and informal channels;
- issuing and managing means of payment (such as credit and debit cards, cheques, travellers' cheques, money orders and bankers' drafts, and electronic money);
- financial guarantees and commitments;

Trading in:

- money market instruments, including cheques, bills, certificates of deposit and derivatives;
- foreign exchange;
- exchange, interest rate and index funds;
- transferable securities; and
- commodity futures trading;
- participation in securities issues and the provision of financial services related to such issues;
- individual and collective portfolio management;
- safekeeping and administration of cash or liquid securities on behalf of other persons;

- otherwise investing, administering or managing funds or money on behalf of other persons;
- underwriting and placement of life insurance and other investment related insurance; and
- money and currency changing.

Section 2 of POCAMLA defines designated non-financial businesses and professions (DNFBP) as:

- casinos (including internet casinos);
- real estate agencies;
- dealers in precious metals;
- dealers in precious stones;
- accountants, who are sole practitioners or are partners in their professional firms; and
- non-governmental organizations.

If you are an entity listed above you are responsible for monitoring on an ongoing basis all complex, unusual, suspicious, large or such other transactions whether completed or not. You should also pay attention to all unusual patterns of transactions, and to insignificant but periodic patterns of transactions which have no apparent economic or lawful purpose.

Upon suspicion that any of the transactions or activities could constitute or be related to money laundering, to the proceeds of crime or terrorism financing, you should report the suspicious or unusual transaction or activity to the FRC.

4. WHAT IS A SUSPICIOUS TRANSACTION?[1]

What one is looking for is an indication that the funds or other assets that are the object of the transaction represent the proceeds of a crime, in other words, that they came into the customer's hands as the result of illegal activity. In the case of TF, one is looking for an indication that the transaction is connected in some way with a terrorist, terrorist group, or an act (most likely a planned act) of terrorism.

A suspicious transaction will often be one when the transaction raises questions or gives rise to discomfort, apprehension or mistrust. **When considering whether there is reason to be suspicious of a particular situation one should assess all the known circumstances relating to that situation. This especially includes the normal business practices and systems within the industry where the situation arises.**

A suspicious situation may involve several factors that may on their own seem insignificant, but, taken together, may raise suspicion concerning that situation. The context, in which a situation arises, therefore, is a significant factor in assessing suspicion. This will vary from business to business and from one customer to another.

A suspicious transaction or activity is when you suspect or have reasonable grounds to suspect that funds involved in the transaction or activity are the proceeds of crime, or are related to terrorism financing.

A "transaction" includes –

1 Section 44 (2) of POCAMLA requires that both suspicious and unusual transactions be reported to the FRC.

(a) Opening an account, issuing a passbook, renting a safe deposit box, entering into a fiduciary relationship or establishing any other business relationship, whether electronically or otherwise; and
(b) A proposed or attempted transaction.

5. HOW TO MAKE A SUSPICIOUS TRANSACTION REPORT

Once you have detected a fact that gives rise to suspicion that a transaction is related to money laundering or proceeds of crime or you have reasonable grounds to believe that the transaction is related to the commission of a terrorist act, a suspicious transaction report must be sent to the FRC immediately and, in any event, within seven days of the date the transaction or activity that is considered to be suspicious occurred. This applies to completed, attempted transactions and suspicious activities.

Please refer to the *FRC STR Reporting Guide* and the *FRC Registration Guide* for information on how to make a report.

When you have to send a suspicious transaction report to FRC, you are required to identify the individual who conducted it.

6. ADDITIONAL INFORMATION REGARDING REPORTING TO THE FINANCIAL REPORTING CENTRE (FRC)

6.1 Confidentiality

Section 8 of POCAMLA prohibits you from informing anyone, including the client, about the contents of a suspicious transaction report or even that you have made such a report or are contemplating making a report. It is your decision whether you want to maintain your business relationship with the client once you have reported a suspicious transaction.

6.2 Misrepresentation and Malicious Reporting

Section 9 of POCAMLA prohibits you from making a false, fictitious or fraudulent statement or representation or providing any false documents to a supervisory body or to the FRC.

Furthermore, Section 10 of POCAMLA states that any person who willfully gives any information to the Centre or an authorised officer knowing such information to be false commits an offence.

6.3 Immunity

Pursuant to Section 19 of POCAMLA, no suit, prosecution or other legal proceedings may be brought against you for making a report in good faith concerning a suspicious transaction.

6.4 Penalties for non-compliance

There are penalties if you fail to meet the suspicious transaction reporting obligations. Failure to report a suspicious transaction could lead to up to seven years imprisonment, a fine of up to 2.5 million shillings, or both if you are a natural person; or 10 million shillings or the amount of the value of the property involved in the offence, whichever is higher for a body corporate.

The same penalties also apply if you inform anyone about a suspicious transaction report. (See 6.1 above).

6.5 How are STRs handled by the FRC

The STRs received by the FRC are protected and the completed reports are never disclosed to any other institution. Following a review of the report that you have submitted an FRC official may contact you for additional information. If the information contained in the STR is deemed to be related to the proceeds of crime, money laundering or terrorism financing it is disseminated to the relevant competent authority. The information included in the dissemination is limited to the grounds for suspicions and the transaction details. The name of the individual who submitted the STR is never revealed. Law enforcement may choose to initiate an investigation based on the disseminated information.

7. SUSPICIOUS TRANSACTION INDICATORS

The indicators that follow are provided to help assess whether or not transactions give rise to suspicion or to reasonable grounds for suspicion. They are examples of common and industry-specific indicators that may be helpful when evaluating transactions. They include indicators based on certain characteristics that have been linked to money laundering or terrorist activities in the past.

These indicators are not intended to cover every possible situation and are not to be viewed in isolation. **A single indicator is not necessarily indicative of reasonable grounds to suspect money laundering or terrorist financing activity. However, if a number of indicators are present during a transaction or series of transactions, then you might want to take a closer look at other factors in order to make the determination as to whether the transaction must be reported**.

The indicators have to be assessed in the context in which the transaction occurs. Your knowledge of your industry and your clients as well as your overall judgment play a key role in determining whether an indicator is relevant in the context of a particular transaction or activity. Each indicator may contribute to a conclusion that there are reasonable grounds to suspect that the transaction is related to the commission of a money laundering offence or a terrorist activity financing offence. However, it may also offer no indication of this in view of factors such as the client's occupation, business, financial history and past investment pattern. Taken together, the presence of one or more indicators as well as your knowledge of your client's business or financial affairs may help you identify suspicious transactions.

7.1 Common predicate offenses in Kenya

When trying to ascertain whether a transaction is suspicious, it is helpful to know what are some of the common crimes in your jurisdiction In Kenya, the following list identifies the more common proceeds generating crimes:

- Drug trafficking
- Corruption
- Human trafficking
- Embezzlement
- Fraud
- Commodities trafficking
- Illegal trade
- Poaching
- Organized crime
- Tax evasion
- Terrorism financing
- Theft
- Counterfeiting currency
- Piracy
- Environmental crime
- Robbery
- Smuggling
- Extortion
- Forgery
- Kidnapping
- Wildlife trafficking
- Cattle rustling

7.2 Examples of Common Indicators

The following are examples of common indicators that may point to a suspicious transaction or behaviour for all reporting sectors.

General

- Client is involved in activity out-of-keeping for that individual or business.
- Client behaviour does not correspond to information provided to reporting institution.
- Client admits or makes statements about involvement in criminal activities.
- Client offers you money, gratuities or unusual favours for the provision of services that may appear unusual or suspicious
- Client has only vague knowledge of or presents confusing or inconsistent details about the transaction, including, for example, the amount of a deposit.
- Client provides excessive, or unusually detailed explanation to justify the transaction
- Client is secretive and reluctant to meet in person.
- Client appears nervous or furtive.
- Client does not want correspondence sent to home address.
- Client repeatedly uses an address but frequently changes the names involved.
- Client's home or business telephone number has been disconnected or there is no such number when an attempt is made to contact client shortly after opening account.
- Client insists that a transaction be done quickly.
- Client appears to have accounts with several financial institutions in one area for no apparent reason.
- Client appears to have recently established a series of new relationships with different financial entities.
- Client wants to make settlements with cheques drawn by, or remittances from, third parties, without reasonable justification.

- Client is accompanied and watched in a manner that is inconsistent with local practices and norms.
- Transactions carried out on behalf of minors, incapacitated persons or other persons who, although not included in these categories, appear to lack the economic capacity to make such purchases.
- Transactions involving persons who are being tried or have been sentenced for crimes or who are publicly known to be linked to criminal activities involving illegal enrichment, or there are suspicions of involvement in such activities and that these activities may be considered to underlie money laundering.
- Transactions involving an individual whose address is unknown or is merely a correspondence address (for example, a PO Box, shared office or shared business address, etc.), or where the details are believed or likely to be false.
- Several transactions involving the same party or those undertaken by groups of persons who may have links to one another (for example, family ties, business ties, persons of the same nationality, persons sharing an address or having the same representatives or attorneys, etc.).
- Transactions taking place through intermediaries who are foreign nationals or individuals who are non-resident for tax purposes.

Knowledge of AML/CFT Requirements

- Client shows uncommon curiosity about internal systems, controls and policies.
- Client attempts to convince employee not to complete any documentation required for the transaction.
- Client makes inquiries that would indicate a desire to avoid reporting.
- Client has unusual knowledge of the law in relation to suspicious transaction reporting.
- Client seems very conversant with money laundering or terrorist activity financing issues.

- Client is quick to volunteer that funds are "clean" or "not being laundered."

Identity Documents

- Client refuses to produce personal identification documents.
- Client produces seemingly false identification or identification that appears to be counterfeited, altered or inaccurate.
- Client only submits copies of personal identification documents.
- Client wants to establish identity using something other than his or her personal identification documents.
- All identification presented is foreign or cannot be checked for some reason.
- All identification documents presented appear new or have recent issue dates without a satisfactory explanation.
- Identification documents have expired.
- Client provides doubtful or vague information.
- Normal attempts to verify the background of a new or prospective client is difficult.
- Client uses aliases and a variety of similar but different addresses.
- Client inordinately delays presenting corporate documents.

Cash Transactions

- Client starts conducting cash transactions more frequently or in amounts larger than has been normal for the client in the past.
- Client conducts a cash transaction for an amount that is unusual compared to amounts of past transactions.
- Client's account has a large number of small cash deposits and a small number of large cash withdrawals.
- Client frequently purchases traveller's cheques, foreign currency drafts or other negotiable instruments with cash when this appears to be outside of normal activity for the client.
- Client frequently exchanges small bills for large ones.

- Client uses notes in denominations that are unusual for the client or industry, when the norm in that business is either much smaller or much larger denominations.
- Client makes cash transactions of consistently rounded-off large amounts.
- Client consistently makes large numbers of cash transactions that are below the reporting threshold amount in an apparent attempt to avoid triggering the identification and reporting requirements.
- Client presents uncounted funds for a transaction. Upon counting, the transaction is reduced to an amount just below that which could trigger reporting requirements.
- Client presents notes that are packed or wrapped in a way that is uncommon for the client or the industry.
- Client deposits musty or extremely dirty bills.
- Individuals involved in cash transactions share the same address, particularly when the address is also for a business location, or does not seem to correspond to the stated occupation (for example, student, unemployed, self-employed, etc.)

Legal entities and legal arrangement

- Transactions involving legal persons or legal arrangements domiciled in tax havens or high-risk territories, when the characteristics of the transaction match any of those included in the list of indicators.
- Transactions involving recently created legal persons, when the amount is large compared to their assets.
- Transactions involving foundations, cultural or leisure associations, or non-profit-making entities in general, when the characteristics of the transaction do not match the goals of the entity.
- Transactions involving legal persons who, although incorporated in the country, are mainly owned by foreign nationals, who may or may not be resident for tax purposes.

- Transactions involving legal persons whose addresses are unknown or are merely correspondence addresses (for example, a post office box number, shared office or shared business address, etc.), or where the details are believed false or likely to be false.
- Formation of a legal person or increases to its capital in the form of non-monetary contributions of real estate, the value of which does not take into account the increase in market value of the properties used.
- Formation of legal persons to hold properties with the sole purpose of placing a front man or straw man between the property and the true owner.
- Contribution of real estate to the share capital of a company which has no registered address or permanent establishment which is open to the public in the country.
- Transactions in which unusual or unnecessarily complex legal structures are used without any economic logic.

Economic Purpose

- Transaction seems to be inconsistent with the client's stated occupation, apparent financial standing or usual pattern of activities. (for example, a student or an unemployed individual makes daily maximum cash withdrawals at multiple locations over a wide geographic area).
- Transaction appears inconsistent with industry practice in the declared business or does not appear to be economically viable for the client.
- Transaction is unnecessarily complex for its stated purpose.
- Transaction involves non-profit or charitable organization for which there appears to be no logical economic purpose or where there appears to be no link between the stated activity of the organization and the other parties in the transaction.

Transactions Involving Accounts

- Opening accounts when the client’s address is outside the local service area.
- Opening accounts in other people’s names.
- Opening accounts with names very close to other established business entities.
- Client frequently and inexplicably uses many deposit locations outside of the home branch location.
- Multiple transactions are carried out on the same day at the same branch but with an apparent attempt to use different tellers.
- Activity far exceeds activity projected at the time of opening of the account.
- Client establishes multiple accounts, some of which appear to remain dormant for extended periods.
- Account that was reactivated from inactive or dormant status suddenly sees significant activity, including:
    - Reactivated dormant account suddenly receives a deposit or series of deposits followed by frequent cash withdrawals until the transferred sum has been removed.
- Unexplained transfers between the client’s products and accounts.
- Multiple deposits are made to a client’s account by third parties, when that is uncommon for the client or the industry.
- Deposits or withdrawals of multiple monetary instruments, particularly if the instruments are sequentially numbered.
- Funds are being deposited into several accounts, consolidated into one and transferred outside the country.
- Client consistently makes immediate large withdrawals from an account that has just received a large and unexpected credit from abroad.
- Multiple personal and business accounts are used to collect and then funnel funds to a small number of foreign beneficiaries, particularly when they are in locations of concern, such as

countries known or suspected to facilitate money laundering activities.[2]

Cross- border Transactions

- Transaction involves countries where there is no effective anti-money-laundering system, or which are known or suspected to facilitate money laundering and terrorism financing activities, including those deemed by the Financial Action Task Force to require enhanced surveillance,[2] including:
    - Foreign currency exchanges that are associated with subsequent wire transfers to countries of concern.
    - Deposits followed within a short time by wire transfer of funds to or through countries of concern.
    - Transaction involves a country where illicit drug production or exporting may be prevalent.
- Transaction crosses many international lines without a legitimate business justification.
- Client and other parties to the transaction have no apparent ties to the country where you are located. Accumulation of large balances, inconsistent with the known turnover of the client's business, and subsequent transfers to overseas account(s).
- Loans secured by obligations from banks in offshore financial centers[3].

---

2 More information on countries of money laundering concern can be found at the following Web site: http://www.fatf-gafi.org/topics/high-riskandnon-cooperativejurisdictions (Information from the Financial Action Task Force about high risk and non-cooperative jurisdictions)

3 An offshore financial centre (OFC), though not precisely defined, is usually a small, low-tax jurisdiction specializing in providing corporate and commercial services to non-resident offshore companies, and for the investment of offshore funds.

- Loans to or from companies registered in jurisdictions which have excessive levels of corporate secrecy.
- Use of a credit card issued by a foreign bank by a client that does not live and work in the country of issue, or when the bank is in an offshore financial center or a secrecy jurisdiction.
- Offers of multimillion-shilling deposits from a confidential source to be sent from an offshore bank or somehow guaranteed by an offshore bank.
- Transactions involving an offshore "shell" bank[4] whose name may be very similar to the name of a major legitimate institution.
- Unexplained wire transfers/electronic funds transfers by client on an in-and-out basis.
- Use of letter-of-credit and other method of trade financing to move money between countries when such trade is inconsistent with the client's business.

Clients Who Send or Receive Wire Transfers/Electronic Funds Transfers

If you are involved in the business of wire transfers/electronic funds transfers (EFTs), consider the following indicators.

- Wire transfers/EFTs are received from entities having no apparent business connection with the client.
- Size of wire transfers/EFTs is out-of-keeping with normal business transactions for that client
- Stated occupation of the client is not in keeping with the level or type of activity (for example a student or an unemployed individual who receives or sends large numbers of wire transfers/EFTs).

4 A shell bank describes a financial institution that does not have a physical presence in any country.

- Client makes frequent or large wire transfers/EFTs for persons who have no account relationship with the institution.
- Client sends frequent wire transfers/EFTs to foreign countries, but business does not seem to have connection to destination country.
- Client orders wire transfers/EFTs in small amounts in an apparent effort to avoid triggering identification or reporting requirements.
- Wire transfers/EFTs do not have information about the beneficial owner or originator when the inclusion of this information would be expected.
- Client transfers large sums of money to overseas locations with instructions to the foreign entity for payment in cash.
- Client receives large sums of money from an overseas location via wire transfers/EFTs that includes instructions for payment in cash.
- Client receives wire transfers/EFTs and immediately purchases monetary instruments prepared for payment to a third party which is inconsistent with or outside the normal course of business for the client.
- Client requests payment in cash immediately upon receipt of a large wire transfer/EFT.
- Client instructs you to transfer funds abroad and to expect an equal incoming transfer.
- Client transfers funds to another country without changing the form of currency.
- Large incoming wire transfers/EFTs from foreign jurisdictions are withdrawn immediately by company principals.
- Beneficiaries of wire transfers/EFTs involve a large group of nationals of countries associated with terrorist activity.
- Client conducts transactions involving countries known as narcotic source countries or as trans-shipment points for narcotics, or that are known for highly secretive banking and corporate law practices.
- Client makes wire transfers/EFTs to free trade zones that are not in line with the client's business.

- Client shows unusual interest in wire transfer/EFT systems and questions limit of what amount can be transferred.

Corporate and Business Transactions

Some businesses may be susceptible to the mixing of illicit funds with legitimate income. This is a very common method of money laundering. These businesses include those that conduct the majority of their business in cash, such as restaurants, bars and vending machine companies. On opening accounts with the various businesses in your area, you would likely be aware of those that are mainly cash based. Unusual or unexplained increases in cash deposits made by those entities may be indicative of suspicious activity.

- Accounts are used to receive or disburse large sums but show virtually no normal business-related activities, such as the payment of payrolls, invoices, etc.
- Accounts have a large volume of deposits in bank drafts, cashier's cheques, money orders or wire transfers/electronic funds transfers, which is inconsistent with the client's business.
- Accounts have deposits in combinations of monetary instruments that are atypical of legitimate business activity (for example, deposits that include a mix of business, payroll, and pension cheques).
- Accounts have deposits in combinations of cash and monetary instruments not normally associated with business activity.
- Business does not want to provide complete customer due diligence information regarding its activities.
- Financial statements of the business differ noticeably from those of similar businesses.
- Representatives of the business avoid contact with the branch as much as possible, even when it would be more convenient for them.

- Deposits to or withdrawals from a corporate account are primarily in cash rather than in the form of debit and credit normally associated with commercial operations.
- Client maintains a number of trustee or client accounts that are not consistent with that type of business or not in keeping with normal industry practices.
- Client operates a retail business providing cheque-cashing services but does not make large draws of cash against cheques deposited.
- Client makes a large volume of cash deposits from a business that is not normally cash-intensive.
- Small, one-location business makes deposits on the same day at different branches across a broad geographic area that does not appear practical for the business.
- There is a substantial increase in deposits of cash or negotiable instruments by a company offering professional advisory services, especially if the deposits are promptly transferred.
- Asset acquisition is accompanied by security arrangements that are not consistent with normal practice.
- Unexplained transactions are repeated between personal and commercial accounts.
- Account has close connections with other business accounts without any apparent reason for the connection.

Means of payment

- Transactions involving payments in cash or in negotiable instruments which do not state the true payer (for example, bank drafts), where the accumulated amount is considered to be significant in relation to the total amount of the transaction.
- Transactions in which the party asks for the payment to be divided in to smaller parts with a short interval between them.
- Transactions where there are doubts as to the validity of the documents submitted with loan applications.

- Transactions in which a loan granted, or an attempt was made to obtain a loan, using cash collateral or where this collateral is deposited abroad.
- Transactions in which payment is made in cash, bank notes, bearer cheques or other anonymous instruments, or where payment is made by endorsing a third-party's cheque.
- Transactions with funds from countries considered to be tax havens or risk territories, territories at risk of ML/FT, regardless of whether the customer is resident in the country or territory concerned or not.

7.3 *Examples of Industry-Specific Indicators*

Industry-Specific Indicators

In addition to the general indicators outlined above, the following sections present industry-specific indicators that may point to a suspicious transaction. As always, it is the consideration of many factors—not any one factor—that will lead to a probable conclusion that there are reasonable grounds to suspect that a transaction is related to the commission of a money laundering or terrorist financing activity. All circumstances surrounding a transaction should be reviewed, within the context of your knowledge of your client.

Taken together, the general and industry-specific indicators that apply to your business may help you identify suspicious transactions. In many cases, the industry-specific indicators represent the application of the general indicators to a given sector, creating an inevitable degree of overlap. Depending on the services you provide, you may need information about indicators in more than one of the following sections. For example, if you are a financial advisor, you might sell life insurance products and securities. In this case, you would read the indicators in Section 10 (Life Insurance Companies, Brokers and Agents), as well as under Section 11 (Securities Dealers).

SECTOR SPECIFIC INDICATORS FOR REPORTING INSTITUTIONS

8. DEPOSIT TAKING INSTITUTIONS[5]

This section applies to deposit taking institutions. Deposit taking institutions are vulnerable to money laundering and terrorist financing due to the diversity of products offered, the credibility provided by deposit taking institutions and the ability to conduct transactions quickly and in some cases remotely. Deposit taking institutions facilitate hundreds of millions of financial transactions and thus are at the heart of any AML/CFT prevention regime.

8.1 Sector specific indicators for deposit taking institutions

The following indicators are for your consideration if you are an institution that opens accounts and holds deposits on behalf of individuals or companies.

Transactions conducted by individuals

- Client appears to have accounts with several financial institutions in one geographical area.
- Client has no income stream but makes frequent large transactions or maintains a large account balance.
- Client makes one or more cash deposits to general account of foreign correspondent bank (i.e., pass-through account).
- Client runs large credit card balances.
- Client visits the safety deposit box area immediately before making cash deposits.

5 Deposit taking institutions include: banks, micro-finance institutions and savings and credit cooperatives.

- Client wishes to have credit and debit cards sent to international or domestic destinations other than his or her address.
- Client has numerous accounts and deposits cash into each of them with the total credits being a large amount.
- Client deposits large endorsed cheques in the name of a third-party.
- Client frequently makes deposits to the account of another person who is not an employer, employee or family member.
- Client frequently exchanges currencies, without a reasonable business need.
- Client frequently makes automatic banking machine deposits just below the reporting threshold.
- Client's access to the safety deposit facilities increases substantially or is unusual in light of their past usage or profile.
- Many unrelated individuals make payments to one account without rational reasonable explanation.
- Third parties make cash payments or deposit cheques to a client's credit card.
- Client frequently identifies deposits as proceeds of asset sales but assets cannot be substantiated.
- Client acquires significant assets and liquidates them quickly with no explanation.
- Client pays in cash or deposits cash to cover bank drafts, money transfers or other negotiable and marketable money instruments.
- Client purchases cashier's cheques and money orders with large amounts of cash.
- Individuals who unexpectedly repay problematic loans or mortgages or who repeatedly pay off large loans or mortgages early, particularly if they do so in cash.

Financial Institutions Who Provide Loans

If you are involved in the business of providing loans or extending credit to individuals or corporations, consider the following indicators.

- Client suddenly repays a problem loan unexpectedly.
- Client's employment documentation lacks important details that would make it difficult for you to contact or locate the employer.
- Client has loans to or from offshore companies that are outside the ordinary course of business of the client.
- Client offers you large dollar deposits or some other form of incentive in return for favourable treatment on loan request.
- Client asks to borrow against assets held by another financial institution or a third party, when the origin of the assets is not known.
- Loan transactions are entered into in situations where the client has significant assets and the loan transaction does not make economic sense.
- Customer seems unconcerned with terms of credit or costs associated with completion of a loan transaction.
- Client applies for loans on the strength of a financial statement reflecting major investments in or income from businesses incorporated in countries known for highly secretive banking and corporate law and the application is outside the ordinary course of business for the client.

8.2 International typologies for deposit taking institutions[6,7]

A senior government official launders embezzled public funds via members of his family

The family of a former Country A senior government official, who had held various political and administrative positions, set up a foundation in Country B, a fiscally attractive financial centre, with his son as the primary beneficiary. This foundation had an account in Country C from which a transfer of approximately USD 1.5 million was made to the spouse's joint account opened two months previously in a banking establishment in neighboring Country D. This movement formed legitimate grounds for this banking establishment to report a suspicion to the national FIU.

The investigations conducted on the basis of the suspicious transaction report found a mention on this same account of two previous international transfers of substantial sums from the official's wife's bank accounts held in their country of origin (A), and the fact that the wife held accounts in other national banking establishments also

---

6 Money Laundering Using New Payment Methods, FATF Report, October 2010. http://www.fatf-gafi.org/media/fatf/documents/reports/ML%20using%20New%20Payment%20Methods.pdf;
Report on Money Laundering Typologies 2003-2004, FATF. http://www.fatf-gafi.org/media/fatf/documents/reports/2003_2004_ML_Typologies_ENG.pdf;
Typologies Report on Laundering the Proceeds of Illicit Trafficking in Narcotics Drugs and Psychotropic Substances in West Africa, GIABA. http://web.giaba.org/media/f/118_final-drugs-typologies-report-dev071811---english.pdf; FIU'S in Action – 100 cases from the Egmont Group, Egmont Group http://www.egmontgroup.org/library/cases

7 Typologies have been taken from a variety of documents produced by the FATF, FATF Style Regional Bodies and national authorities. The content and drafting of the typologies has been undertaken by these bodies with very minor amendments having been made by the FRC to enhance the clarity of the text.

provisioned by international transfers followed by withdrawals. The absence of any apparent economic justification for the banking transactions conducted and information obtained on the initiation of legal proceedings against the senior government official in his country for embezzlement of public funds led to the presumption, in this particular case, of a system being set up to launder the proceeds of this crime. The official concerned was subsequently stopped for questioning and placed in police custody just as he was preparing to close his bank account. An investigation was initiated.

Laundering the proceeds of drug trafficking through the banking sector, cash couriers and front companies

An individual who is a citizen of a West African country operated a drug trafficking ring since 2002 and laundered money across many jurisdictions. Most of the group members resided abroad, mainly in Western Europe, and had residence permits in their host countries. Together with the ring leader, they recruited people from the West African country to deliver drugs to them from where they distribute it in their country of residence and other parts of Western Europe.

In 2006, one of the couriers was arrested for possession of 2.054 kilograms of cocaine concealed inside a suitcase at the international Airport of the West African country on his third trip to Europe. Investigation revealed that the money realized from sales of drugs was sent back through cash couriers and thereafter exchanged into local currency and deposited in bank accounts or used to acquire land, construct buildings or purchase vehicles in cash. The properties bought were sold shortly afterwards and the money realised deposited in bank accounts. The deposited money was later withdrawn to purchase real estate. In several transactions involving significant volumes of drug profits, the group members performed small transactions below reporting threshold to avoid detection and deposited the money in several accounts. Some of the accounts were for fictitious companies.

The group members were found to be partners in several companies, along with other third parties and the companies had no activities in their registered line of business. Their head offices were fictitious.

Concealment within business structures

A bank noticed that a business account that had been dormant for some years suddenly became active with large-scale fund transfers. The bank account was originally registered to a company registered in an offshore jurisdiction. After US$150,000 was credited into the account, the firm used the funds to buy shares of a recently privatised Eastern-European company - 'ABC Corp'.

Three months later, the company representative who originally opened the account deposited US$250,000 in cash into the company account. Immediately after depositing the money, he wanted to transfer US$100,000 into a personal account at another bank. He claimed that the money came from his personal funds. When the bank asked him about the origin of these personal funds, he submitted commercial documentation showing that he had sold shares of ABC Corp - worth US$150,000 - for US$250,000 to another Eastern- European company 'DEF Corp'. The difference of US$100,000 Brian explained as risk compensation, in the event the initial US$150,000 worth of shares invested in company ABC had been devalued. This would have been fairly high return on capital, when one takes into account that a return of US$100,000 over just three months would have equalled an annual interest rate of over 200 percent.

The bank disclosed the transactions to the national FIU. By checking the records of its own intelligence and financial databases and liaising with other Egmont members, the FIU developed information that indicated the company representative was the real owner of the offshore company. Also, it discovered that he was a member of the *board of directors of company ABC. This suggested that the shares in company ABC might well have been knowingly sold at a low value to the offshore company before being sold onwards for a higher price to a third party. In effect, the company representative siphoned off US$100,000 profit by using his own offshore company as a 'hidden' stage in the share transfer.*

The FIU notified the corresponding law enforcement authorities that the company representative was suspected of money laundering and fraud. As a result of the police investigation, he was arrested and prosecuted, with the court also confiscating the US$100,000 involved.

Laundering proceeds of corruption through business entities

Thomas was a member of the Chamber of Deputies in his home country. He was able to support his family on his modest government salary until he began to develop a severe gambling habit. Increasingly in debt, and increasingly desperate for money, he formulated a plan to make him rich enough to carry on gambling indefinitely. As a project planner within the Ministry of Finance, he had the power to propose and approve schemes in a specific sector of the annual public works budget. It occurred to Thomas that offering to approve schemes in return for a small monetary gift was an ideal solution to his money problems. Unsurprisingly, a number of businessmen were willing to pay him well for the guarantee of government business, and Thomas became rich very quickly through his corrupt activities.

Thomas's friend Gina, who owned an exchange and tourism-company, was willing to help him launder the bribes that he was receiving. She used her employees as 'straw men' to create a number of different bank accounts through which funds could be laundered - more than US$4,000,000 was laundered in total through such accounts. However, the cash payments and subsequent transfer offshore risked attracting *attention, and so Thomas developed a more sophisticated laundering method - a fruit-delivery company. This company, which was owned by Gina's husband, laundered US$2,700,000 in three months, disguising the transactions by creating false invoices which, were settled by the businessmen on Thomas's instructions. In this way, there was no direct link between Thomas and the corrupt payments, and the businessmen had invoices to justify the payments should any questions be asked. The fruit company could then transfer the funds offshore as 'settlement' for fruit importations, attracting few suspicions.*

However the earlier transactions had not remain unnoticed by the financial institutions involved. In view of the unusually large amounts of cash deposits and the rapid offshore transfers – especially in view of the declared low-income employment of the account holders – the institutions decided to disclose to the national FIU on a variety of accounts.

Following analysis by the FIU, the police obtained a clear understanding of Thomas and his corrupt activities, and instigated a full investigation. Inquiries showed that Thomas had used assessors of the House of Representatives to assist in the approval of his schemes. One assessor, who did not have any involvement with the criminal operation, had had his signature counterfeited to obtain the necessary authorisation. Another assessor had helped Thomas by visiting the exchange and tourism company and receiving cheques in his name. After receiving the cheques, the assessor deposited the money into one of Thomas's accounts.

At the time of writing, the police were trying to link the corruption inquiry into another case currently before the Supreme Court. The total amount of money Thomas laundered was estimated to be in the region of US$1,000,000,000. It is worth noting that the disclosures by the institutions took place because of the simple initial laundering scheme, *whereas the later scheme involving an established company appeared to have had little risk of disclosure.*

A terrorist organization uses wire transfers to move money to further its activities across borders

A terrorist organization in Country X was observed using wire transfers to move money in Country Y that was eventually used for paying rent for safe houses, buying and selling vehicles, and purchasing electronic components with which to construct explosive devices. The organization used "bridge" or "conduit" accounts in Country X as a means of moving funds between countries. The accounts at both ends were opened in the names of people with no apparent association with the structure of terrorist organization but who were linked to one another by kinship or similar ties. There were thus the apparent family connections that could provide a justification for the transfers between them if necessary.

Funds, mainly in the form of cash deposits by the terrorist organization were deposited into bank accounts from which the transfers are made. Once the money was received at the destination, the holder either left it on deposit or invested it in mutual funds where it remained hidden and available for the organization's future needs. Alternatively, the money was transferred to other bank accounts managed by the organization's correspondent financial manager, from where it was distributed to pay for the purchase of equipment and material or to cover other adhoc expenses incurred by the organization in its clandestine activities

Wire transfers are used as part of a terrorist fundraising campaign

An investigation in Country A of Company Z, a company thought to be involved in the smuggling and distribution of pseudoephedrine (a *suspected source of revenue for terrorist organizations), revealed that employees of Company Z were sending a large number of negotiable cheques to Country B. Additional evidence revealed that the target business was acting as an unlicensed money remitter. Based on the above information, search warrants were obtained for the Company Z premises and two residences. Analysis of the documents and bank records seized as a result of the search warrants indicated that the suspects had wire transferred money to an individual with suspected ties to a terrorist group.*

Later that year the investigators engaged in a series of coordinated searches. Three subjects were arrested and charged for failure to register as a financial business, and approximately USD 60,000in cash and cheques were seized. Additionally, a bank account was identified containing approximately USD 130,000 which was used to facilitate the illegal wire transfers to destinations outside Country A.

9. NEW PAYMENT METHODS (NPMs):

9.1 Sector specific indicators for New Payment Methods: Mobile Payment Services, Internet Payment Services and Prepaid Cards

- Discrepancies between the information submitted by the customer and information detected by monitoring systems.
- Individuals who hold an unusual volume of NPM accounts with the same provider.
- A large and diverse source of funds (i.e., bank transfers, credit card and cash funding from different locations) used to fund the same NPM account(s).
- Multiple reference bank accounts from banks located in various cities used to fund the same NPM account.
- Loading or funding of account always or frequently done by unrelated third parties, especially when followed by the immediate transfer of funds to unrelated bank account(s).
- Numerous cash loading, just under a reporting threshold (i.e., structured loading of prepaid cards), of the same prepaid card(s), conducted by the same individual(s) on a number of occasions
- Multiple loading or funding of the same accounts, followed by ATM withdrawals shortly afterwards, over a short period of time.
- Multiple withdrawals conducted at different ATMs (sometimes located in various countries different from jurisdiction where NPM account was funded).
- NPM account only used for withdrawals, and not for point of sale or online purchases.
- Atypical use of the payment product (including unexpected and frequent cross-border access or transactions).
- Suspicious registrations on the subscriber network and MMT systems (terrorist suspects and prison sites/barred locations, irregular/fake ID's).
- Frequent calls/texts/money transfers between known fraud/terrorist suspects and their associates.

- Remote withdrawals and direct deposits, remote ATM withdrawals.
- Agent commission fraud.
- Hoaxes and scams/schemes to defraud unsuspecting customers and agents e.g. from prison sites.
- Facilitation of bribery and corruption payments.
- Facilitation of drug trafficking, terrorist financing and other illegal activities.
- Kidnapping—ransom payments demanded through MMT.
- Informal international agents—Use of unregistered money transfer services to effect international transfers.
- Identity theft/impersonation fraud/unauthorized access to mobile banking accounts leading to fraudulent transfer of funds.
- Fake currency deposits.

9.2 International typologies for new payment methods

Suspected use of mobile payments to move funds associated to telemarketing fraud

This case originates from the Philippines. SMS messages were sent to victims claiming that they had won an electronic raffle. To claim their prize, they were asked to send money using a mobile payment provider to pay for taxes related to prizes.

Selling stolen phone credits through mobile P2P payments

This case originates from the Cayman Islands. In April 2010, an individual was sentenced in Cayman Islands for using stolen credit card information to illegally obtain phone credits which he then sold through the mobile P2P payment services. Although the amount of money was small, the individual was charged for money laundering activity under the Proceeds of Crime Law of Cayman Islands.

Suspected use of mobile payments to move funds related to fraud

A victim was fooled into believing that the spouse was involved in an accident and the victim was asked to send money using a mobile payment provider to pay doctor's or hospital's bill.

Prepaid cards used to launder drug proceeds

Following the dissemination of Suspicious Transaction Reports (SUSTRs) received by AUSTRAC to a law enforcement agency, an AUSTRAC alert was raised on a suspect and his associate. The information related to a student who on a number of occasions loaded structured amounts of AUD 9 900 to avoid reporting thresholds onto prepaid debit cards in his own name and that of his associate (i.e., conducting third-party loading transactions). The suspect had previously come to the notice of law enforcement agencies in relation to a cocaine seizure which he was alleged to have organised. Following further research and intelligence gathering a joint operation commenced involving multiple law enforcement agencies.

A further 15 SUSTRs were recorded on the AUSTRAC database, showing both the suspect and his associate conducting deposits of structured amounts onto prepaid debit cards. AUSTRAC information detected a further series of financial transactions linked to both targets.

An assessment of AUSTRAC information was disseminated to the law enforcement agencies and assisted the investigation, resulting in the arrest of both targets. The associate departed Australia for South America and returned to Australia from another South American destination 12 days later with approximately 5.8 kilograms of cocaine in his baggage. He later admitted that he had previously brought drugs into Australia on two occasions for a payment of AUD 28 000 each time.

He was arrested and charged with importing and possessing a prohibited import. The suspect was also charged with conspiracy to bring into Australia approximately 5.8 kilograms of cocaine, structuring and money laundering of almost AUD 400 000. He was found guilty and sentenced to seven years imprisonment.

10. LIFE INSURANCE AND PENSION SCHEME MANAGERS

This section applies to individuals and entities that are involved in underwriting and the placement of life insurance and other investment related insurance. The insurance industry in Kenya is heavily intermediated. Agents act on behalf of the insurance companies while the brokers act as agents of the clients and not the insurance companies. Indeed, insurance intermediaries are deemed to be the primary point of contact with the clients and therefore, have access to substantial and crucial client information. Obligations apply to life insurance brokers but not life insurance agents. This sector has been recognized by the international community, through the FATF as vulnerable to money laundering and terrorist financing primarily due to the size of the industry, the easy availability and diversity of its products and the structure of its business.

10.1 Sector specific indicators for the life insurance sector

If you provide life insurance as your main occupation or as one of the many services that you offer, consider the following indicators.

- Client has unusual interest in quick movement of funds to higher-risk locations.
- Lack of reliable and comprehensive information on the originator and beneficiary information of (cross-border) fund transfers.
- Difficulty in verification of BO information in relation to clients making it difficult to trace individuals behind high-risk transactions.

- Pattern of multiple small-value transactions across multiple accounts to avoid detection.
- Purchase of insurance products by clients residing in high-risk jurisdictions where due diligence is difficult.
- Investment in life insurance products by persons, entities or their associates that are matched to terror lists.
- Client proposes to purchase an insurance product using a cheque drawn on an account other than his or her personal account.
- Client who has other small policies or transactions based on a regular payment structure makes a sudden request to purchase a substantial policy with a lump payment.
- Client conducts a transaction that results in a conspicuous increase in investment contributions.
- Client cancels investment or insurance with surrender value soon after purchase.
- Client shows more interest in the cancellation or surrender than in the long-term results of investments.
- Client makes payments with small denomination notes, uncommonly wrapped, or with postal money orders.
- The duration of the life insurance contract is less than three years.
- The first (or single) premium is paid from a bank account outside the country.
- Client accepts very unfavourable conditions unrelated to his or her health or age.

S/No.	Name	Indicator Category
1	Client proposes to purchase an insurance product using a cheque drawn on an account other than his or her personal account.	Client Risk
2	A Client applies for an insurance policy relating to business outside his or her normal pattern of business.	Client Risk
3	Client who usually purchases small policies, suddenly requests a large lump-sum contract.	Client Risk
4	A Client who is inquisitive about terms of cancellation as opposed to benefits of a policy.	Client Risk
5	Client who wants to pay a large premium with foreign currency or by way of wire transfer or via offshore banks.	Client Risk
6	Client accepts very unfavourable conditions unrelated to his or her health or age.	Client Risk
7	A new or prospective client is known to you as having a questionable legal reputation or criminal background.	Client Risk
8	a Client who is unwilling or unable to provide satisfactory information to verify the source of wealth or source of funds;	Client Risk
9	Unusually large payments using cash	Client Risk
10	Client purchases a number of policies with money orders, traveler’s cheques,bank cheques or other bank instruments, especially in amounts that are slightly less than a designated threshold	Client Risk
11	A Client wants to borrow the maximum cash value of a single premium policy, soon after paying for the policy.	Client Risk

S/No.	Name	Indicator Category
12	change in the nature or amount of insurance coverage inconsistent with a Client's needs, and sources of wealth and funds as recorded in the Client's profile	Client Risk
13	levels of coverage or transactions exceeding what a reasonable person would expect of a Client with a similar profile;	Client Risk
14	apparent collusion between a Client and an intermediary or insurance company employee	Client Risk
15	Client offering to pay extraordinary fees for unusual services, or for services that would not ordinarily warrant such a premium	Client Risk
16	Purchasing products which are inconsistent with the buyer's age, income, employment or history.	Client Risk
17	Purchasing one or more single-premium investment-linked policies, then cashing them in a short time later.	Client risk
18	Transaction involves use and payment of a performance bond resulting in a cross border payment.	Client risk
19	Any dealing with a third party where the identity of the beneficiary or counter-party is undisclosed.	Client risk
20	Redemption of a policy which is unusually early or does not make good economic sense	Client risk
21	Challenges identifying the individual beneficiaries of a life insurance contract - a beneficiary is a legal person, trust or another type of legal arrangement;	Client risk
22	Removal of existing beneficiaries and replacing with new ones who have no insurable interest	Client risk
23	Connection or relationship between the applicant or policyholder, and the beneficiaries is not clear.	Client risk

S/No.	Name	Indicator Category
24	Frequent and unexplained changes to the beneficiaries;	Client risk
25	significant or repeated overpayments of policy premiums after which the policyholder requests reimbursement to him- or herself or to a third party;	Client risk
26	Paying a large “top-up” into an existing life insurance policy.	Client risk
27	Initiating a policy and then asking for a refund after the grace period	Client risk
28	Unjustified delays in the production of identity documents or other requested information;	Client risk
29	Involvement of a PEP in the business relationship;	Client risk
30	unusual engagement of an intermediary	Delivery Channel Risk
31	non-face-to-face relationships with insurance Clients	Delivery Channel Risk
32	Request to carry out significant transactions using cash or using any payment or value transfer method such as a bearer instrument that obscures the identity of any of the parties to the transaction;	Delivery Channel Risk
33	Apparent collusion between a Client and any director, manager or employee of an intermediary, insurance company or reinsurance company;	Delivery Channel Risk
34	A sudden change in the volume of business connected with an intermediary.	Delivery Channel Risk
35	The funds coming from another country, particularly high-risk jurisdictions.	Geographic Risk
36	insurance business involving persons or transactions with a material connection to jurisdiction, entity, person, or activity that is a target of an applicable international sanction	Geographic Risk

S/No.	Name	Indicator Category
37	an insurance business relationship or transaction for which an insurer's ability to conduct full Client due diligence (CDD) may be impeded by a jurisdiction's confidentiality, secrecy, privacy or data protection restrictions.	Geographic Risk
38	application for multiple policies for premiums slightly below the limits set for applying simplified due diligence measures	Client Risk
39	Unexplained and illogical use of corporate structures, express trusts, nominee shares or the use of bearer negotiable instruments;	Client Risk
40	sudden and unexplained deposits, withdrawals, contractual changes or lifestyle changes;	Client Risk
41	lack of concern by the applicant or policyholder over charges or costs for early surrender	Client Risk
42	undue interest by the applicant or policyholder in early payout options	Client Risk
43	unexplained use of a power of attorney or other third-party mandate	Client Risk
44	requests for no correspondence to go to the policyholder	Client Risk
45	Purchasing an annuity with a lump sum rather than paying regular premiums over a period of time, particularly if the beneficiary is of an age which entitles him to receive the funds soon after	Client Risk

- Transaction involves use and payment of a performance bond resulting in a cross border payment.

10.2 International typologies for the life insurance sector[8]

Use of life insurance single premium policy

This case originates from Belgium. A fraudulently bankrupt subject used an account in the name of a family member to pay cash in and withdraw it out via a cheque to a lawyer. The lawyer then gave some money back in a cheque to the family member while the rest went to the subject's single premium life policy which was immediately surrendered. The surrender value was paid out to the family member's account.

Early policy redemption, especially when uneconomic or unusually early

This case originates from Belgium. The subject deposited 1m euros in cash with a life insurance company in 2 single premium life policies which were surrendered early incurring a loss of 40% of the investment cashed outside the jurisdiction concerned in an effort to evade creditors seeking remuneration from the subject's fraudulently declared bankrupt company.

Cash payments to purchase insurance

This case originates from Belgium. Two subjects who lived outside the jurisdiction concerned deposited large cash sums in 4 single premium life policies. Subsequent premiums came from bank accounts which

8 Money Laundering & Terrorist Financing Typologies 2004-2005 (10 June 2005), FATF. http://www.fatf-gafi.org/media/fatf/documents/reports/2004_2005_ML_Typologies_ENG.pdf

had been previously investigated for trade in illegal narcotics from Latin America to Western Europe.

Cooling off periods, which allow for refunds of premiums with clean money within the contract cancellation period

This case originates from the United Kingdom. Mr. P invested £25,000 in an Investment Bond [an investment type insurance policy], the monies had come from the sale of a house, which was confirmed by a letter from his solicitor. The monies had come direct from the solicitor's client account. The bond was taken out by Mr. P's sister who has power of attorney over his financial affairs because Mr. P is in prison.

Within the cooling off period the bond was cancelled, Mr. P's sister stated that her brother was not happy with the chosen bond. The funds were returned to Mr. P's sister. This appears to be an attempt to transfer monies that may have been obtained through the proceeds of crime. By divesting his assets Mr. P may be attempting to frustrate any attempt by law enforcement to confiscate his assets.

Risks involved in international transactions

This case originates from the United States and the Isle of Man. A number of insurance companies, domiciled in the Isle of Man and the Bailiwick of Guernsey, were identified through information received in a narcotics smuggling investigation as having numerous policies which were paid for with drug proceeds. It was determined that narcotics proceeds were deposited into life insurance policies over a substantial period of time prior to 2001. These policies were primarily established by one "master broker" who operated in Colombia and other South American jurisdictions.

For the policies that were identified as containing drug proceeds, the funds entered the policies in several ways. First, and most common, were via third party wire transfers. These wire transfers often originated from money or foreign exchange brokers. In many instances, one bulk wire transfer was sent to the institution on the order of the broker. Once credited to the institution's account, the broker provided detailed information of how to break-up the wire and which accounts to credit the funds to. The insurer also received payments via third party cheques and structured money orders (to avoid reporting thresholds).

Finally, some policies were paid with funds from the commission accounts of the brokers. In this scenario, the brokers accepted cash from the client in Colombia and credited the client's policy with funds from his business operating account or as a piece of his commission cheque.

11. SECURITIES DEALERS

This section applies to securities dealers. The securities sector is vulnerable to money laundering and terrorist financing due its diversity, the ease with which trading can now take place and the ability to perform transactions in markets with little regard to national borders. Large amounts can be laundered providing the launderer with the double advantage of layering laundered funds while also providing potentially profitable investment opportunities. There has been rapid innovation in the securities sector, which has increased the uptake by investors as well as the scale of funds involved.

11.1 Sector specific indicators for the securities sector/pension scheme managers

If you deal with foreign companies or financial institutions that conduct activities related to the securities market consider the following indicators.

- A new or prospective client is known to you as having a questionable legal reputation or criminal background.
- Accounts that have been inactive suddenly experience large investments that are inconsistent with the normal investment practice of the client or their financial ability.
- Any dealing with a third party when the identity of the beneficiary or counter-party is undisclosed.
- Activity suggests that transactions may offend securities regulations or the business prospectus is not within the requirements.
- Client attempts to purchase investments with cash.
- Client wishes to purchase a number of investments with money orders, traveller's cheques, cashier's cheques, bank drafts or other bank instruments, especially in amounts that are slightly less than

a designated threshold, where the transaction is inconsistent with the normal investment practice of the client or their financial ability.

- Difficulty in establishing person bearing the name of the applicant exists and lives or is resident at the address provided.
- Inability to establish that the applicant is actually that person.
- Lack of telephone contact with the customer at a residential or business number that can be verified independently.
- Discrepancies when conducting telephone confirmation of the customer's employment status with the customer's employer's personnel department at a listed business number of the employer.
- Discrepancies when confirming the customer's salary or any other source of income details by requiring the presentation of recent bank statements from a bank;
- Reluctance by client for multiple or nominee accounts, or similar or related transactions, to provide a written statement confirming the reason and the need for multiple or nominee accounts, or similar or related transactions.
- Failure to provide the reason underlying the transfer or payment for large or unusual transfers or payments of funds or appropriate documentation as to the identity of the recipient or sender of the transferred or paid funds,
- Failure to provide a written statement from the client confirming that the investments are bona fide and consistent with the goals and objectives of the client's reasonable and normal business activities for large or unusual investments.
- Failure to provide a written confirmation from the client indicating the nature, reason and appropriate details of the foreign transactions sufficient to determine the legitimacy of such transactions for large and unusual foreign transactions.

Specific Indicators for Savings and Credit Societies

S/No.	Name	Indicator Category
1	Client deposits funds in the market intermediaries bank account (collection account) without corresponding purchase of securities and then requests for withdrawal of the funds	Client Risk
2	Client deposits funds in the market intermediaries bank account without corresponding purchase of securities for 30 days	Client Risk
3	Client deposits funds in the market intermediaries' bank account and transfers funds to a third-party internal intermediary account.	Client Risk
4	The client deposits fund in the collection account in amounts below a threshold amount in order to avoid any reporting or recordkeeping requirements	Client Risk
5	Client engages and gains from market manipulation and malpractices.	Client Risk
6	Multiple cash deposits/ incoming wire transfers to market intermediaries collection account in favor of market intermediary's client internal account.	Client Risk
7	Client engages and gains from insider trading	Client Risk
8	Client refuses to provide proof of source of the funds or provides the securities firm with information that is false, misleading, or substantially incorrect.	Client Risk
9	Client has bank accounts primarily used for deposits and other bank accounts primarily used for outgoing payments.	Client Risk
10	The Client provides the market intermediary with unusual or suspicious identification documents that cannot be readily verified or are inconsistent with other statements or documents that the Client has provided.	Client Risk

S/No.	Name	Indicator Category
11	Client does not provide sufficient information to complete CDD/KYC /EDD	Client Risk
12	The client is reluctant to meet personnel from the market intermediary in person, is very secretive or evasive or becomes defensive when asked to provide more information.	Client Risk
13	The client's transaction activity does not match with known client profile/ background or investment objectives.	Client Risk
14	The Client has no business reason for using the firm's service or, the firm's disadvantageous location does not discourage the Client.	Client Risk
15	The client refuses to provide information regarding the beneficial owners of an account opened for an entity or provides information that is false, misleading or substantially incorrect.	Client Risk
16	The client's address is associated with multiple other accounts that do not appear to be related.	Client Risk
17	The client is known to be experiencing financial distress but an unexplainable sudden change of fortune.	Client Risk
18	The client is, or is associated with, a PEP	Client Risk
19	The client refuses to invest in securities where more enhanced CDD/KYC procedures are required.	Client Risk
20	The client with a significant history with the securities firm abruptly liquidates all of his or her assets.	Client Risk
21	The client appears to be acting as a fiduciary/proxy for someone else but is reluctant to provide more information relating to whom he or she may be acting for.	Client Risk

S/No.	Name	Indicator Category
22	The client acts through a proxy in order not to have his or her identity registered.	Client Risk
23	The Client is publicly known to have criminal, civil or regulatory proceedings against him or her for financial crime	Client Risk
24	The client or potential client inquires as to how quickly he or she can liquidate accounts or earnings without explaining why or providing suspicious reasons for doing so.	Client Risk
25	The client opens an account or purchases a product without any regard to loss, commissions or other costs associated with that account or product.	Client Risk
26	The client has commercial or other types of relationships with sanctioned persons or institutions.	Client Risk
27	The client exhibits unusual interest in the securities firm’s compliance with government reporting requirements or the firm’s AML policies.	Client Risk
28	The client offers to incentivize the securities firm/staff in order to keep some of his or her information secret.	Client Risk
29	The client tries to persuade an employee of the securities firm not to file a required report or not to maintain required records.	Client Risk
30	Law enforcement has a court order issued in relation to a predicate crime to the market intermediary regarding a clientor account.	Client Risk
31	The client suddenly begins to extensively use cash to purchase securities	Client Risk
32	The client engages in extremely complex transactions where his or her profile would indicate otherwise.	Client Risk

S/No.	Name	Indicator Category
33	A foreign based Client that uses domestic accounts to trade on offshore products.	Client Risk
34	Transactions that cannot be reconciled with the usual activities of the Client, for example, switching from trading only lowly priced stocks to predominantly blue chip companies	Client Risk
35	Corporate finance transactions under consideration that do not make economic sense in respect of the business operations of the Client.	Client Risk
36	Unexpected repayment of a client account that has been in arrears without any plausible explanation.	Client Risk
37	The employee devotes substantial attention to a client even though the client's account is relatively unimportant to the organization.	Client Risk
38	The client is hostile aggressive and relucatant when asked to provide the information required to conduct KYC/CDD/EDD	Client Risk
39	The employee of an intermediary accepts cash or other transferable instruments(e.g. banker cheques) for the purchase of securities with the intention of concealing information regarding the beneficiary.	Employee risk
40	The employee appears to be enjoying a lavish lifestyle that is inconsistent with his or her salary or position.	Employee risk
41	The employee is reluctant to take annual leave.	Employee risk
42	The employee is subject to intense job-related demands, such as sales or production goals that may make him more willing to engage in or overlook behavior that poses AML risks.	Employee risk
43	The employee is known to be experiencing a difficult financial situation.	Employee risk

S/No.	Name	Indicator Category
44	The management or reporting structure of the market intermediary allows an employee to have a large amount of autonomy without direct control over his or her activities.	Employee risk
45	Accounts/ orders handled by an employee have missing or incomplete supporting documentation	Employee risk
46	The client is located in a jurisdiction that is known as a bank secrecy haven, a tax shelter or high-risk geographic locations.	Geographic Risk
47	Wire transfers are sent to, or originate from, financial secrecy havens, tax shelters or high-risk geographic locations	Geographic Risk
48	Payments or deposits containing forged instruments.	Geographic Risk
49	The controlling owner or officer of a public/ publicly listed company transfers funds into his personal intermediary account or into theinternal intermediary account of a private company.	Transaction Risk
50	Transfer of funds to financial or banking institutions other than those from where the funds were initially received.	Transaction Risk
51	Transfers of securities between different accounts with no apparent purpose.	Transaction Risk
52	Transaction where one-party purchases securities at a high price and then sells them at a considerable loss to another party.	Transaction Risk
53	The purchase and sale of unlisted securities with a large price differential within a short period of time.	Transaction Risk
54	Use of shell/Shelf companies to but transact with securities(companies with no known businesses, assets & liabilities but transact with securities	Transaction Risk

S/No.	Name	Indicator Category
55	Transfer of assets without a corresponding movement of funds through effecting a change in beneficial ownership.	Transaction Risk
56	A dormant account that suddenly becomes active without a plausible explanation	Transaction Risk
57	The purchase of long-term investments is followed by a liquidation of the accounts shortly thereafter, regardless of fees or penalties.	Transaction Risk
58	There are unusual transfer requests of funds or journaling among accounts without any apparent business purpose or among apparently unrelated accounts.	Transaction Risk
59	Provision of margin collaterals in the form of large cash amounts.	Transaction Risk
60	Large withdrawals request from a previously dormant or inactive account	Transaction Risk
61	Large withdrawals request from an account that has just received an unexpected large credit from abroad.	Transaction Risk
62	A management culture within the market intermediary focuses on profits, growth of assets and turnover, over compliance with regulatory requirements.	Organization risk
63	Business is experiencing a period of high staff turnover or is going through significant structural changes.	Organization risk

- Unusually large amounts of securities or stock certificates in the names of persons other than the client.
- Proposed transactions are to be funded by international wire payments, particularly if from countries where there is no effective anti-money-laundering/countering the financing of terrorism system.[9]

11.2 International typologies for the securities sector[10]

Cash criminal proceeds placed in the securities market

This case involved the theft of some USD 384 million from a bank in Country X over the ten-year period from 1992 to 2001. The money was sent to Country Y and laundered through a serious of companies and accounts (to date 80 companies and 550 bank accounts are involved, but this is growing as the investigation progresses).

Much of the money was invested in the property and stock markets in Country Y and ultimately used at will by the four principal thieves for whatever they wanted. At one time in the mid-nineties one of the thieves was reported as being the largest margin stock investor in the Country Y market. There was a huge turnover in stocks and shares

9 More information on countries of money laundering concern can be found at the following Web site: http://www.fatf-gafi.org/topics/high-riskandnon-cooperativejurisdictions (Information from the Financial Action Task Force about high risk and non-cooperative jurisdictions)

10 Report on Money Laundering Typologies 2002-2003, FATF. http://www.fatf-gafi.org/media/fatf/documents/reports/2002_2003_ML_Typologies_ENG.pdf; Money Laundering and Terrorism Financing in the Securities Sector, October 2009, FATF http://www.fatf-gafi.org/media/fatf/documents/reports/ML%20and%20TF%20in%20the%20Securities%20Sector.pdf

through some of Country Y companies, as well as dividends from shares held long term.

The true extent of the dealing is only just coming to light but it is evident that the majority of the funds stolen in Country X occurred after 1997 when a regional economic downturn adversely affected the local property and stock markets. It is of interest that no disclosures were ever made by stockbrokers about the dealings of these companies. At this time four people have been charged with money laundering and have been released on bail, and a number of other people are fugitives.

Narcotics trafficker takes control of a publicly traded company

A drug dealer (Mr. A), a resident of Country 1, acquired the vast majority of freely tradable shares of ABC Ltd a public company with its head office in Country 1. ABC Ltd was a speculative stock that traded on the over the counter market in Country 2.

Mr. A sold drugs to Buyer B. He did not receive money. Instead, he instructed Buyer B to buy ABC Ltd through the stock market. Buyer B had previously set up an account in a non-cooperative jurisdiction and instructed his agent to purchase ABC Ltd. The agent contacted his broker in Country 2 and instructed him to purchase the shares. Mr. A instructed his agent in Country 3 to sell ABC Ltd. His agent instructed his broker in Country 2 to sell the securities. Because the stock was thinly traded there were not any competing bids for the security. The transaction was cleared through the clearing corporations with the end result being that Mr. A received the money and Buyer B received the drugs and the shares. Their cost was a few hundred dollars in commissions.

This transaction was repeated several times through several countries and brokers. It had the added benefit of providing liquidity to the market and the public was led to believe that there was actual interest in the security. The public then got involved in the trading and with the heightened awareness the stock increased in value. This meant that Mr. A and Buyer B's shares were now worth more and they were able to generate additional profits. Mr. A was able to legitimize the source of funds as being "market" profits.

Activity of wash trading

Three individuals who appeared to be associates, were purchasing shares of three companies (A, B and, C) and selling them a short time later. One of the individuals was listed as a CEO of Company A, the other two as members of the senior management team of Company B. According to public documents, Company A was linked to Company B and Company C. The group traded shares of the companies through personal accounts held at different securities dealers. The three individuals were conducting the same transactions at the same time. The activity was similar to a money laundering technique known as "structuring" since the three individuals in reality were dividing the purchase-sale scheme between them. The proceeds of sales were deposited into personal securities accounts and moved shortly to bank accounts held by the same individuals or others that are suspected to be nominees.

Insider trading and money laundering

Mr. Y had insider information on company M, quoted on the stock exchange. Through relatives, he knew that company M would soon be acquired. To avoid attracting attention, he transferred his assets to his wife's account over which he had power of attorney, and purchased shares of company M prior to the announcement of the takeover. The bank knew that Mr. Y's spouse did not usually perform stock exchange *transactions and was surprised to find out that funds were transferred from her husband's account. It is believed that Mr. Y's wife carried out the transactions on his behalf and tried to conceal the transactions by using her account. After the takeover, his wife's account was credited with the proceeds of the securities sold. Mr. Y then laundered the money by having the funds transferred to his personal account.*

Employee of a securities intermediary assisting a politically exposed person (PEP) launder money

Ms. X, an investment representative at a large broker-dealer, helped a PEP from a foreign jurisdiction launder over US$10 million that the PEP received from drug traffickers. The PEP received these illicit assets as payment for allowing drug shipments to safely pass through his jurisdiction. Ms. X helped the PEP establish numerous brokerage accounts at her firm in the name of various foreign shell companies and then deposited the illicit assets into these accounts. Weeks before the PEP was to lose prosecution immunity, Ms. X assisted the PEP in wire transferring the illicit assets out of the brokerage account and into a foreign account. Ms. X then set up a fictitious account for the PEP and wire transferred all of the assets back to her firm.

12. FOREIGN EXCHANGE DEALERS AND MONEY SERVICES BUSINESSES

This section applies to foreign exchange dealers and money services businesses. The foreign exchange and money services business sectors are vulnerable to money laundering due to the range of services offered, the variety of distribution channels, the high transfer speed and the fact that they are often cash intensive businesses.

12.1 Sector specific indicators for foreign exchange dealers and money services businesses

If you are involved in the money services business, including foreign exchange dealers, money remitters, issuers of traveller's cheques and post offices, consider the following indicators.

- Client requests a transaction at a foreign exchange rate that exceeds the posted rate.
- Client wants to pay transaction fees that exceed the posted fees.
- Client exchanges currency and requests the largest possible denomination bills in a foreign currency.
- Client knows little about address and contact details for payee, is reluctant to disclose this information, or requests a bearer instrument.
- Client wants a cheque issued in the same currency to replace the one being cashed.
- Client wants cash converted to a cheque and you are not normally involved in issuing cheques.
- Client wants to exchange cash for numerous postal money orders in small amounts for numerous other parties.
- Client enters into transactions with counter parties in locations that are unusual for the client.
- Client instructs that funds are to be picked up by a third party on behalf of the payee.

- Client makes large purchases of traveller's cheques not consistent with known travel plans.
- Client requests numerous cheques in small amounts and various names, which total the amount of the exchange.
- Client requests that a cheque or money order be made out to the bearer.
- Client requests that a large amount of foreign currency be exchanged to another foreign currency.

12.2 International typologies for foreign exchange and money services businesses[11]

Use of false identities

Persons A and B repeatedly made cash deposits sent via money remittance to South America to the same recipients. In a few months' time the money remitted amounted to several thousand EUR. There was no economic background for the transactions performed. None of the individuals resided at the stated address. The remittance forms revealed that most of the money was sent by Mr. A, after which Mr. B took over the transactions with the same beneficiaries.

When the identification papers of the two individuals were compared, it turned out that Mr. A and Mr. B were in fact one and the same person. Police sources revealed that Mr. A's identity featured in an investigation regarding human trafficking and exploitation of prostitution.

---

11 Money Laundering through Money Remittance and Currency Exchange Providers, FATF Report, June 2010. http://www.fatf-gafi.org/media/fatf/ML%20through%20Remittance%20and%20Currency%20Exchange%20Providers.pdf

Structuring

Several individuals and companies sent/received a large number of remittances to/from different persons and destinations (often in a number of foreign countries) during a short period of time. Then they temporarily stopped their activities for a while and after a short period of time, the transfers started again. In this scheme large amounts were fragmented into smaller amounts, sent to a great number of persons in different countries and finally returned to the originators.

The total sum of received and sent remittances was almost equal, and the persons declared they knew the persons who were the beneficiaries of the transfers ordered by them. Transfers were made in several currencies, where the change from one currency to another was performed between the transfers without any reasonable explanation. The investigation detected that many of the foreign persons involved in the scheme had a criminal background or had been convicted for drug trafficking, prostitution, etc.

Remittances to high risk countries

The financial intelligence unit received several unusual activity reports from the postal bank regarding money remittance through a well-known money transmitter that were done by a number of entities with no apparent relation between them, from country A to several countries in South America.

Analysis of information revealed that a number of transfers sent abroad were made in small amounts. Transfers were made from different branches of the postal bank all located in the same geographical region in country A to various beneficiaries located in several countries in South America, which are considered high risk countries with regard to the manufacturing of drugs. The entities that made money remittances had no criminal or intelligence record and *were usually young people with low reported income and no property. Therefore, suspicions were raised that they were straw men. A connection was found between one of the persons involved and a large criminal organization known to be operating in drug trafficking. A co-operation with one of the South American FIU revealed that one of the beneficiaries was in jail for drug trafficking.*

Use of agents of money remittance business

A suspicious transaction report from a money remittance business was received by the FIU in Country 1. The report revealed that one of the agents of the money remittance company was making operations with the following characteristics:

- *Every remittance operation was sent to Country 2 (Country 2 was a drug producing country).*
- *The amount sent in every remittance operation was higher than usual for money remittance operations to Country 2.*
- *In the period of time of one year, the senders of money never made more than three operations.*
- *Every sender sent money to different receivers.*
- *There were no apparent relationship between the sender and the receiver of the money.*
- *The receivers never received money from more than three or four senders.*

After making a more comprehensive analysis, other agents of different money remittance companies with similar operational profile were discovered. Police investigations revealed that those agents were working together in a joint action with the objective to launder money for a drug trafficking organization. Money laundering and drug trafficking organizations were dismantled. The information was shared with Country 2, where several police operations were carried out.

Use the ownership in a money service business company to launder money

Mr. B is the owner and CEO of a money service business, which engaged in check discounting for a commission. He used the bank accounts of various companies and provided straw men to act as beneficial owners and authorised signatories of the bank accounts. Mr. B discounted cheques for his customers using these bank accounts. Mr. B made use of the services of other money services businesses which recorded his transactions under another name. He discounted cheques in return for cash for his customers, and in turn, discounts the cheques received from his customers at a money service business, with instructions not to record his name so that a report would not be filed. Stolen cheques were brought to Mr. B for discounting, and so as not to be connected with them, he gave them for discounting to another money service business, which recoded the transaction under the name of a straw man. Mr. B instructed the customer to say that he delivered the cheques for discounting to the straw man, and instructed the straw man to say that he received the cheques from a customer, in order to hide his own involvement with discounting the stolen cheques. Mr. B was indicted of money laundering offences.

Currency exchange business providing services to organised crime group

A currency exchange company was identified as providing services for organised criminals. A lot of "runners" came to the exchange office several times a day and made large cash withdrawals. Some "runners" had during a period of months made withdrawals for millions. The money was used for paying black labor. STRs were received from banks indicating money flows from different companies' bank accounts to the bank account of the currency exchange-company. The owner of the currency exchange company was later prosecuted and convicted.

13. ACCOUNTANTS[12]

Pursuant to Section 48 of POCAMLA reporting obligations apply to accountant when preparing or carrying out transactions for their clients in the following situations:

a) Buying and selling of real estate;
b) Managing of client money, securities or other assets;
c) Management of bank, savings or securities accounts;
d) Organization of contributions for the creation, operation or management of companies;
e) Creation, operation or management of buying and selling of business entities.

13.1 Sector specific indicators for accountants

This section applies to accountants. Accountants are in a position to discover money laundering and terrorist financing because of their expertise and involvement in the execution and facilitation of a wide variety of financial transactions such as the preparation of financial statements, the creation of companies formation or the management of their financial matters, involvement in tax matters, wire transfers, etc. In many of these transactions, the value and the complexity of the transactions are high.

12 Source: International Federation of Accountants (http://www.ifac.org/sites/default/files/publications/files/anti-money-laundering-2n.pdf); FINTRAC (http://www.fintrac.gc.ca/publications/guide/Guide2/2-eng.asp#s8-8) FATF RBA Guidance for Accountants, 17 June 2008 http://www.fatf-gafi.org/media/fatf/documents/reports/R BA%20for%20accountants.pdf

Sector specific indicators for accountants

- Client appears to be living beyond his or her means.
- Client has cheques inconsistent with sales (i.e., unusual payments from unlikely sources).
- Client has a history of changing bookkeepers or accountants yearly.
- Client is uncertain about location of company records.
- Client performs activities that are irrelevant to his or her normal activities or profession and cannot provide a reasonable explanation.
- Accountant does not meet client face-to-face.
- Client provides instructions or funds outside of their personal or business sector profile.
- Client starts or develops an enterprise with unexpected profile or early profits.
- Client does not wish to obtain necessary governmental approvals/filings, etc.
- Client offers to pay extraordinary fees for services which would not ordinarily warrant such a premium.
- Company carries non-existent or satisfied debt that is continually shown as current on financial statements.
- Company has no employees, which is unusual for the type of business.
- Company is paying unusual consultant fees to offshore companies.
- Company records reflect sales at less than cost, thus putting the company into a loss position, but the company continues without reasonable explanation of the continued loss.
- Company shareholder loans are not consistent with business activity.
- Examination of source company documents shows misstatements of business activity that cannot be readily traced through the company books.

- Company makes large payments to subsidiaries not within the normal course of business.
- Company invoiced by organizations located in a country with weak AML/CFT regime or a tax haven.
- Company acquires large personal and consumer assets (i.e., boats, luxury automobiles, personal residences and cottages) when this type of transaction is inconsistent with the ordinary business practice of the client or the practice of that particular industry.
- Company uses many different firms of auditors and advisers for connected companies and businesses.
- Legal structure of client has been altered numerous times (name changes, transfer of ownership, change of corporate seat).
- Management of the corporate client appears to be acting according to instructions of unknown or inappropriate person(s).
- Frequent or unexplained changes in the corporate client's professional adviser(s) or members of management.
- The number of employees or organizational structure is out of keeping with the size or nature of the business (for instance the turnover of a company is unreasonably high considering the number of employees and assets used).
- Company receives large international payments when there is no business rationale.

13.2 International typologies for the accounting sector[13]

Failure to disclose suspicious activity by financial professional

In a recent major loan sharking investigation in Country 1, the auditor responsible for auditing the accounts of a company, which had received crime proceeds laundered through neighbouring Country 2, failed to report any suspicious transactions. Investigators found obvious discrepancies in the company's account records which should have alerted the auditor, such as unexplained large-summed payments from and to the Director (who was the mastermind of the loan sharking syndicate), the fact that no delivery or warehousing expenses were ever booked for the trades purportedly conducted, and that in one instance the date of delivery of the "goods" to the buyer actually predated the date of acquisition by the seller. The auditor, when questioned, stated that he failed to note any suspicion because he only looked at the year-end figures for the purposes of certification of the accounts.

Laundering operation is set up by accounting firm

In March 2000, the Director of an insurance company from a country in Asia (Country 1) defrauded the company of USD 90 million by purporting to have purchased bonds of the same amount. The proceeds were paid through two companies registered in a Caribbean island country (Country 2) and bank[14] *accounts in another Asian*

13 Source: FATF Report on Money Laundering Typologies 2000-2001 http://www.apgml.org/frameworks/docs/5/FATF%20Typologies%20rpt%202000-01.pdf; FATF Report on Money Laundering Typologies 2003-2004 , http://www.fatf-gafi.org/media/fatf/documents/reports/2003_2004_ML_Typologies_ENG.pdf

14 In this case a "holding account" facilitated the money laundering. This is a type of account that is linked to other accounts and then transfers money

country (Country 3). The Country 2 companies and the bank accounts had been set up and run by an Asian accounting firm for the offending Director. The USD 90 million was firstly paid to one of the Country 2 companies, then transferred to the other, and then back to Country 1 to a third company also owned by the Director, all in the same day. The Director has since been arrested by the Country 1 police and is in custody pending trial. The accounting firm failed to note the U-turn movement of the funds as suspicious.

Accountant and lawyers assist in a money laundering scheme

Suspicious flows of more than USD 2 million were identified being sent in small amounts by different individuals who ordered wire transfers and bank drafts on behalf of a drug trafficking syndicate who were importing of 24 kg of heroin concealed in cargo into Country 1. Bank drafts purchased from different financial institutions in Country 2 (the drug source country) were then used to purchase real estate in Country 1. An accountant was used by the syndicate to open bank accounts and register companies. The accountant also offered investment advice to the principals. A firm of solicitors was also used by the syndicate to purchase the property using the bank drafts that had been purchased overseas after they had first been processed through the solicitor's trust account. Family trusts and companies were also set up by the solicitors.

automatically into those other accounts (e.g. mortgage account, bill payment account or credit card account) for payment.

14. CASINOS[15]

This section applies to casinos, including internet casinos. Casinos and other gaming activities are recognized by the international community, through the FATF, as highly vulnerable to money laundering and terrorist financing. There are many risks inherent to these activities including risks associated to owners, clients, products and services, geographic areas and distribution channels. There is often a great variety, frequency and volume of transactions that make the gaming sector particularly vulnerable to money laundering. Casinos especially, are by nature, a cash intensive business and the majority of transactions are cash based. Areas of particular vulnerability involve the ability to issue winnings in forms other than cash (i.e., bank cheques, drafts, or transfers) or where the casino issues "Certificates of winnings" which can be used to demonstrate a legitimate source for funds.

14.1 Sector specific indicators for casino sector

- Inserting funds into gaming machines and immediately claiming those funds as credits.
- Customers claiming gaming machine credits/payouts with no jackpot.
- Customers claiming a high level of gaming machine payouts.
- Noticeable spending/betting pattern changes.
- Customer in possession of large amounts of bills.
- Purchasing and cashing out casino chips with little or no gaming activity.
- Customer's intention to win is absent or secondary.

15 Sources: http://www.fatf-gafi.org/media/fatf/documents/reports/Vulnerabilities%20of%20Casinos%20and%20Gaming%20Sector.pdf

- Where casinos are permitted to issue winnings in the forms of cheques or transfers, multiple cheques (or transfers to bank card) being requested.
- Chip cash out is same/similar to chip purchase.
- Use of third parties to purchase casino chips.
- Customer purchases chips and leaves casino shortly after.
- Large chip purchases.
- Supposed winnings do not correspond with recorded winnings.
- Detection of chips brought into the casino.
- Activity inconsistent with the customer's profile.
- Use of multiple names to conduct similar activity.
- Third party present for all transactions but does not participate in the actual transaction.
- Use of third parties to undertake structuring of gaming chip purchases or to conduct wagering.
- Cash handed to third party after cash out.
- Frequent betting transactions just under thresholds.
- Frequent "buy in" and "cash out" transactions just under thresholds at any time or over several shift changes.
- Requests for winnings in separate cash or chip amounts under reporting threshold.
- Customer requests to add cash to casino winnings and then exchanging the combined cash and winnings for a single cheque (or transfer to a bank card).
- Purchasing casino chips with small denomination bills.
- Customers moving from table to table or room to room before the wagering amounts reach the reporting threshold.
- Frequent "cash out" transactions without corresponding "buy in" transactions.
- Contact between patrons and casino staff outside of the casino.
- Supposed winnings do not correspond with recorded winnings.
- Casino cheque issued to a family member of a casino employee.

14.2 International typologies for the casino sector[16]

Casino used as preferred method to launder millions

This case originates from Australia. The money laundering techniques used are chip purchases and cash outs, claiming credits as jackpot wins and playing games with low return and high win. Information identified alleged money launderers using the casino as a preferred method of laundering millions of dollars accumulated from criminal activities. The methods used to launder the money included purchasing and cashing out chips without playing, putting funds through slot machines and claiming credits as a jackpot win and playing games with low returns but higher chances of winning. The same group were also utilizing bank accounts and businesses to launder funds.

Purchase of chips and gambling without clear intention to win

This case originates from Belgium. The money laundering technique used was chip purchases and no gaming activity. Two Asian males residing in Belgium went to a Belgian casino twice to purchase chips for a total amount of almost 25 000 EUR. When visiting they did not play at the tables and immediately collected funds through a third person, also an Asian national. Investigations indicated that the three persons were students and lived at a common address with other Asian students. It appeared that the transactions were likely to be linked to human trafficking. By not playing at the casino and collecting the money through a third person they wanted to leave a paper trail in order to justify the origin of the funds.

16 Sources:
http://www.fatf-gafi.org/media/fatf/documents/reports/Vulnerabilities%20of%20Casinos%20and%20Gaming%20Sector.pdf ;
http://www.fintrac.gc.ca/publications/typologies/2009-11-01-eng.asp#s5-1;

Embezzled money laundered through casino

This case originates from the United States. The money laundering technique used was the purchase and cash out with little or no gaming activity. A lawyer was sentenced in New Jersey for embezzling more than USD 500 000 and laundering USD 250 000 of it through an Atlantic City casino. The defendant wire transferred USD 250 000 to the casino and arrived at the casino later the same day to launder the funds. He purchased casino chips and gambled for an hour on a roulette table losing USD 10 000. He then cashed out the remaining USD 240 000 into currency and left the casino.

Refining low denomination notes

This case originates from Spain. The money laundering technique used was refining and use of third parties. A group of three foreign people entered separately in a casino and bought chips, paying with low denomination notes. They didn't play any game, and after they changed the chips that they had bought trying to obtain high denomination notes.

Overseas nationals purchase winning jackpots with illegal proceeds

This case also originates from Spain. The money laundering technique used is buying winning lottery tickets. Investigations in Spain related, mainly with drug trafficking, corruption and tax fraud identified the use of gaming to launder funds. The technique consisted of buying winning lottery tickets from legitimate gamblers.

Drug trafficking proceeds laundered using casino chips and casino value instruments and credit cards

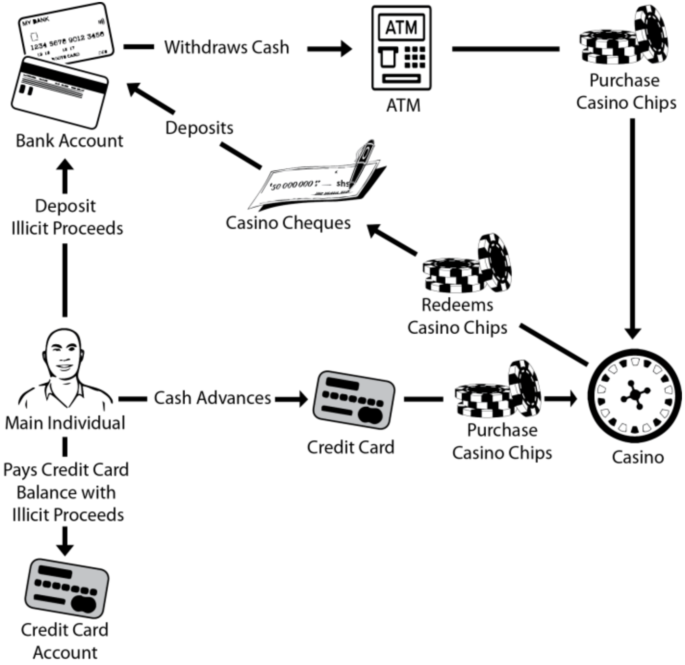
This case originates from Canada. It was instigated following the receipt of a suspicious transaction report from a financial institution *identifying an individual that was the subject of a law enforcement investigation related to drug trafficking.*

The Canadian Financial Intelligence Unit (FINTRAC) determined that this individual was linked to the subject of a previous case related to drug importation/exportation, residential marijuana grow operations, the exportation of stolen vehicles and fraud. Canadian law enforcement was working with a foreign partner on the international dimensions of this investigation. Analysis of reports submitted to FINTRAC by financial institutions and casinos gave FINTRAC reasonable grounds to suspect that the individual was involved in money laundering activity using two methods.

First, it appeared that the individual deposited the proceeds of criminal activity to a bank account (placement stage). The individual then layered the funds through casino transactions, making automated banking machine withdrawals at casinos and using the funds to purchase casino chips. Casino chips were later redeemed for casino cheques, which were deposited to the individual's bank account.

In addition, the individual obtained credit card cash advances at casinos and used the funds to purchase casino chips. The chips were later redeemed for casino cheques, which were deposited to the individual's bank account. Proceeds of criminal activity were used to pay the credit card account balance resulting from the cash advances.

Reporting from the casino sector also assisted FINTRAC in identifying two additional subjects, who were linked to the individual through financial transactions. One casino reported that a third party purchased casino chips on behalf of the main individual, and also reported that the main individual purchased casino chips for the benefit of another party. The relevant designated information related to these third parties, as well as the main individual, were disclosed to two different law enforcement agencies. This case highlights the use of casino value instruments and credit cards as methods of money *laundering in casinos. Illicit funds were placed in the financial system, having been deposited to the individual's bank account and used to pay the individual's credit card account balance. The individual also layered transactions by obtaining funds from the bank account or credit card to purchase casino chips, and later converting the chips to a casino cheque which was deposited in the individual's bank account.*



15. REAL ESTATE AGENTS [17]

This section applies to realtors. Real estate agents have been recognized internationally through the FATF as vulnerable to money laundering and terrorist financing particularly because real estate sales and purchases involve the transfer of high values of money. The real estate agent, whether directly involved in the financial transaction or not, is nonetheless involved in the transaction as they help clients buy or sell real estate by connecting buyers and sellers. In this capacity, they have access to information that is useful in detecting suspicious transactions.

15.1 Sector specific indicators for the real estate sector

- Transactions in which there are signs, or it is certain, that the parties are not acting on their own behalf and are trying to hide the identity of the real customer.
- Transactions which are begun in one individual's name and finally completed in another are without a logical explanation for the name change. (For example, the sale or change of ownership of the purchase or option to purchase a property which has not yet been handed over to the owner, reservation of properties under construction with a subsequent transfer of the rights to a third party, etc.)
- Transactions in which the parties:
    - Do not show particular interest in the characteristics of the property (e.g. quality of construction, location, date on which

17 Sources : http://www.oecd.org/tax/exchangeofinformation/42223621.pdf ; http://www.fintrac.gc.ca/publications/guide/Guide2/2-eng.asp#s2-7; http://www.fatf-gafi.org/media/fatf/documents/reports/ML%20a nd%20TF%20through%20the%20Real%20Estate%20Sector.pdf;

  it will be handed over, etc.) which is the object of the transaction.
  - Do not seem particularly interested in obtaining a better price for the transaction or in improving the payment terms.
  - Show a strong interest in completing the transaction quickly, without there being good cause.
  - Show considerable interest in transactions relating to buildings in particular areas, without caring about the price they have to pay.
- Client sells property below market value with an additional “under the table” payment.
- Client negotiates a purchase for the market value or above the asked price but requests that a lower value be recorded on documents, paying the difference “under the table”.
- Client purchases property without inspecting it.
- Client is known to have paid large remodelling or home improvement invoices with cash, on a property for which property management services are provided.
- Client buys back a property that he or she recently sold.
- Frequent change of ownership of same property, particularly between related or acquainted parties.
- If a property is re-sold shortly after purchase at a significantly different purchase price, without corresponding changes in market values in the same area.
- Client arrives at a real estate closing with a significant amount of cash.
- Client purchases property in someone else’s name such as an associate or a relative (other than a spouse).
- Client does not want to put his or her name on any document that would connect him or her with the property or uses different names on Offers to Purchase, closing documents and deposit receipts.
- Client inadequately explains the last minute substitution of the purchasing party’s name.

- Client pays initial deposit with a cheque from a third party, other than a spouse or a parent.
- Client pays substantial down payment in cash and balance is financed by an unusual source (for example a third party or private lender) or a bank in an offshore financial center.
- Client purchases personal use property through his or her company when this type of transaction is inconsistent with the ordinary business practice of the client.
- Client purchases multiple properties in a short time period, and the client seems to have few concerns about the location, condition, and anticipated repair costs, etc. of each property.
- Client insists on providing signature on documents by fax only.
- Client over-justifies or over-explains the purchase.
- Client's home or business telephone number has been disconnected or there is no such number.
- Client uses a post office box or General Delivery address where other options are available.
- Client wants to build a luxury house in non-prime locations.
- Client exhibits unusual concerns regarding the firm's compliance with government reporting requirements and the firm's anti-money laundering/countering the financing of terrorism policies.
- Client exhibits a lack of concern regarding risks, commissions, or other transaction costs.
- Formation of a legal person or increases to its capital in the form of non-monetary contributions of real estate, the value of which does not take into account the increase in market value of the properties used.
- Formation of legal persons to hold properties with the sole purpose of placing a front man or straw man between the property and the true owner.
- Contribution of real estate to the share capital of a company which has no registered address or permanent establishment which is open to the public in the country.

Nature of the Transaction

- Transactions which are not completed in seeming disregard of a contract clause penalising the buyer with loss of the deposit if the sale does not go ahead.
- Transactions relating to the same property or rights that follow in rapid succession (for example, purchase and immediate sale of property) and which entail a significant increase or decrease in the price compared with the purchase price.
- Transactions entered into at a value significantly different (much higher or much lower) from the real value of the property or differing markedly from market values.
- Transactions relating to property development in high-risk urban areas, in the judgement of the company (for example, because there is a high percentage of residents of foreign origin, a new urban development plan has been approved, the number of buildings under construction is high relative to the number of inhabitants, etc.).
- Recording of the sale of a building plot followed by the recording of the declaration of a completely finished new building at the location at an interval less than the minimum time needed to complete the construction, bearing in mind its characteristics.
- Recording of the declaration of a completed new building by a non-resident legal person having no permanent domicile indicating that the construction work was completed at its own expense without any subcontracting or supply of materials.
- Transactions in which the buyer takes on debt which is considered significant in relation to the value of the property.
- Transactions in which the parties are foreign or non-resident for tax purposes and their only purpose is a capital investment (that is, they do not show any interest in living at the property they are buying).
- Transaction is completely anonymous – transaction conducted by lawyer.

Suspicions due to Financial Indicators

- Use of significant amount of cash to purchase or rent real estate properties, sometimes in combination with unusual advanced payments.
- Client is known to have paid large remodelling or home improvement invoices with cash, on a property for which property management services are provided.
- Real estate loans above or equal to the building acquisition value.
- Evidence of the appeal of frequent partners loans of considerable amounts.
- Where a prospective buyer is paying for real estate with funds from a high risk country, such as a "non-cooperative country or territory".
- Where the seller requests that the proceeds of a sale of real estate be sent to a high risk country.

15.2 International typologies for the real estate sector[18]

Use of Illegal Funds in Mortgage Loans and Interest Payments

This case originates in the Netherlands. Mr. X was the owner of Company A and the individual controlling its activities. Mr. X hired Mr. Y as front man of Company A. Company A had some low-profile activities in managing and exploiting properties. During the life of

18 Sources: http://www.fatf-gafi.org/media/fatf/documents/reports/ML%20and%20TF%20through%20the%20Real%20Estate%20Sector.pdf; http://web.giaba.org/media/f/111_typologies-report-final-feb-09.pdf; Typologies Report on Money Laundering through the Real Estate Sector in the ESAAMLG region, ESAAMLG, September 2013 http://esaamlg.org/userfiles/file/TYPOLOGIES-REPORT-ON-ML-THROUGH-THE-REAL-ESTATE-SECTOR(1).pdf

Company A, Mr. Y set up a relationship with Bank EUR that provided for accounts and payment services. The property managed by Company A was used for activities by other companies owned by Mr. X (for storage, for example). Mr. X. planned to buy office buildings for EUR 8 000 000 via Company A. The office buildings had to be renovated to be marketable. Mr. X. knew a licensed assessor (real estate agent), Mr. Z. Mr. X. and Mr. Z found a way to set up a false but plausible assessments of the market value of the office buildings after renovation (EUR 13 000 000). Mr. X ordered Mr. Y to negotiate a mortgage with Bank EUR to finance the purchase and renovation of the property.

Based on the assessment, Bank EUR was willing to grant a mortgage of EUR 13 000 000. Mr. Y entered into the loan agreement on behalf of Company A as the buying party. After the disbursement of the loan, the real estate was paid for. Mr. X. then paid Mr. Y EUR 500 000 and had the remaining EUR 4.5 million, together with the proceeds of other criminal activities, transferred into several bank accounts in countries with strict bank secrecy. The mortgage of Bank EUR was presented to the foreign banks as the legitimate source of the funds that were being transferred to the accounts. In this way, the money was layered and integrated.

The renovation of the office buildings never took place. Meanwhile the activities of Company A rapidly decreased. Company A finally went into default. Bank EUR called the loan, but Mr. Y was not in a position to reimburse it along with the interest payment. Mr. Y stated that he was not aware of the persons behind Company A, their whereabouts and the background of the accounts to which the money was transferred. The predicate offences identified in this case were forgery, deception, and fraud.

Indicators and methods identified in the scheme included:

- *Applying for a loan under false pretences;*
- *Using forged and falsified documents;*
- *The client persisted in a picture of the financial situation that was unrealistic or that could not be supported by documents;*
- *The loan amount did not relate to the value of the real estate;*
- *Successive buying and selling of the real property involved; and*
- *The client had several mortgage loans relating to several residences.*

Overvaluation of real estate and use of third parties launder funds

This case originates from Canada. The parents of Mr. X (Mr. and Mrs. Y) purchased a residential property and secured a mortgage with a Canadian bank. In his mortgage application, Mr. Y provided false information related to his annual income and his ownership of another property. The property he had listed as an asset belonged to another family member.

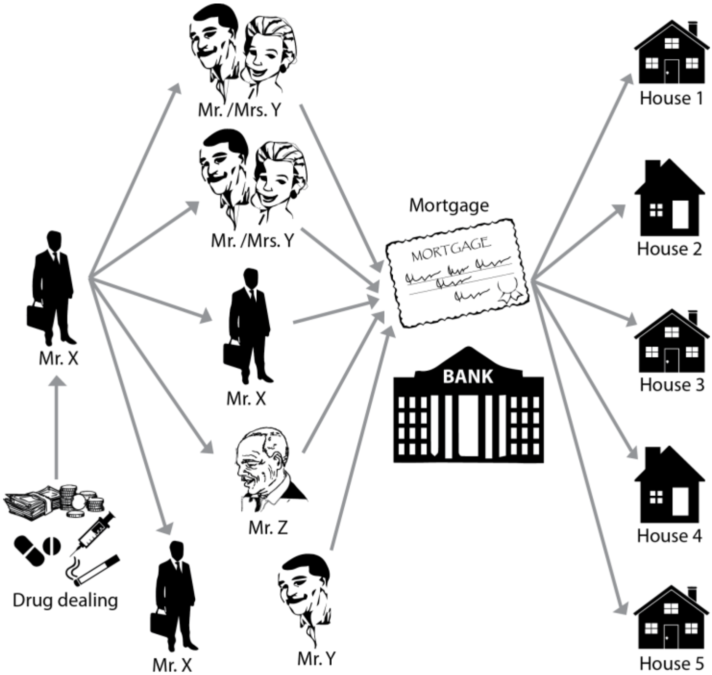
Mr. and Mrs. Y purchased a second residence and acquired another mortgage at the same Canadian bank. A large portion of the down payment came from an unknown source (believed to be Mr. X). The monthly mortgage payments were made by Mr. X through his father's bank account. This was the primary residence of Mr. X. Investigative evidence shows that Mr. X made all mortgage payments through a joint bank account held by Mr. and Mrs. Y and Mr. X.

Mr. X then purchased a residential property and acquired a mortgage from the same Canadian bank. Mr. X listed his income (far higher than the amounts he had reported to Revenue Canada) from Company A and Company B. Mr. X made the down payment and monthly payments. Over two years, Mr. X paid approximately CAD 130 000 towards the mortgage. During this time his annual legitimate income *was calculated to be less than CAD 20 000. Mr. X also used his brother Mr. Z as a front man (nominee) on title to purchase an additional property. Investigators discovered that Mr. Z had stated an annual income of CAD 72 000 on his mortgage application listing his employer as Mr. X although Mr. Z had never worked for his brother, and his total income for two years was less than CAD 13 000.*

Mr. X made the down payment on this property, and his tenants, who were members of Mr. X's drug trafficking enterprise, paid all the monthly mortgage payments. A total of CAD 110 000 was paid towards this property until Mr. X and his associates were arrested. Mr. X and his father purchased a fifth property. The origin of the down payment, made by Mr. Y, was unknown but is believed to be the proceeds of Mr. X's drug enterprise. Monthly payments were made by Mr. X.

The use of real estate was one of many methods Mr. X employed to launder the proceeds from his drug enterprise. Recorded conversations between Mr. X and his associates revealed that he felt it was a fool-proof method to launder drug proceeds. Mr. X was convicted in 2006 of drug trafficking, possession of the proceeds of crime and laundering the proceeds of crime in relation to this case.

The use of real estate was one of many methods Mr. X employed to launder the proceeds from his drug enterprise. The only problem he faced was securing a mortgage alone, so he had to use a nominee to secure the mortgage or to co-sign on the mortgage.



Laundering the proceeds of drug trafficking through the real estate sector

In November 2003, law enforcement agencies of country 1 took Mr. TM in for questioning, as well as Mr. AN who is suspected of being an intermediary between TM and a Columbian cartel. Questioned by the *judge, Mr. TM denied any participation in the cocaine trafficking network between Columbia, Country 1 and Europe. His associate, Mr. NA, on the other hand, had revealed the existence of drug business relations between Mr. TM and Columbians Y and Z, and had narrated how and by what means the drugs were transported to Europe via country 1.*

In January 2004, a team from the French drug enforcement agency and the French judiciary police arrived in country 1 in order to take in Mr. TM for interrogation. This French intervention was justified by the fact that the two traffickers taken in for questioning in Paris for being in possession of 6 kg of cocaine had already declared being in the service of Mr. TM. But well informed by the accomplices, Mr. TM was taken into custody for interrogation and handed over by the law enforcement agencies of country 1.

In 2004, an international rogatory commission visited country 1, within the framework of the investigation of the case that was opened by a French investigation firm for hearing.

Mr. TM, who claimed to be a trader in his country, made large investments in the real estate sector with a significant number of constructions as well as a vehicles park with diverse brands, ranging from low- to high-quality luxury vehicles.

Use of the real estate sector to launder proceeds of crime by a Politically Exposed Persons (PEP)

The FIU was requested by one of the domestic Law Enforcement Agencies to assist in locating properties and associated companies linked to a high profile PEP. The case related to a money laundering investigation on a former high ranking PEP in the continent who embezzled huge sums of monies from the state coffers of his *jurisdiction. Three countries were involved in the case that is, the Republic of South Africa (RSA), the home country of the PEP.*

The information received revealed that the PEP owned a high value property, worth approximately ZAR 2 million in one of the most sought after, prime residential areas in RSA. Further revelations were that the PEP, whilst in the third party country, contacted his local associates (lawyers) to assist in procuring real estate. To transfer funds the PEP utilised a shell company registered in another country as a conduit to ensure that his identity is not revealed. The attorney's trust account in the RSA received the funds and duly purchased the property and registered it under another company's name, which analysis revealed to be controlled by the PEP. A financial intelligence product was compiled and disseminated, leading to a joint application by the three investigating agencies for restraining and forfeiture of the real estate to the home country of the PEP, where funds were misappropriated.

Laundering through real estate using an offshore shell company

A PEP was involved in a syndicate in which state funds were siphoned from government coffers. The syndicate incorporated a shell company in a foreign country. When the PEP's term of office came to an end, investigations were instituted relating to a corruption matter that took place during the PEP's time in office. Investigations revealed that the syndicate siphoned millions of dollars using another government account from which wire transfers were made to offshore accounts including to the shell company.

It was further revealed that the shell company was used to acquire a number of real estate properties in the PEP's country and abroad. Money was used by the PEP to pay his children's school fees and upkeep abroad. He also bought large quantities of expensive clothing and his children started living a lavish life style. Upon conclusion of the *investigation, the trio was arrested for corruption, theft and money laundering. The properties were seized and a number of them were forfeited to the state.*

International Drug Trafficking Case

The FIU received a request for information from a local law enforcement agency on a person of interest that was known to be a king-pin in an international drug trafficking syndicate. The information required included bank accounts and properties under the subject's name, including those of his immediate family members and possible close associates.

The FIU commenced with the analysis cycle and requested financial information from reporting institutions. Statutory and private databases were also accessed to source more information such as his movement in and out of the country and assets under his name or his family's.

The information received and analysis conducted revealed that the subject had transferred huge sums of funds into the country, and further bought assets such as real estate and a game farm. It was also revealed that outward funds transfers were effected to his home country and the funds were deposited into different bank accounts. Some of the funds were transferred into the spouse's account. This information was duly consolidated into a report and forwarded to the relevant authorities. Ultimately properties and funds to the amount of ZAR 3 million were seized by the State.

16. DEALERS IN PRECIOUS METALS AND STONES[19]

This section applies to dealers in precious metals and stones. This sector has been recognized by the international community, through the FATF as vulnerable to money laundering and terrorist financing primarily due to the high values that can be obtained through the purchase, sale and exchange of precious metals and stones (e.g., gold, diamonds, etc.). Precious stones, in particular, are easy to transport across borders facilitating international money laundering, further distancing the launderer from the proceeds of crime. In addition, precious metals and stones are commodities usually in high demand globally, thus providing a global market for their conversion into money. They are also “universal” value instruments, requiring no conversion, like foreign currencies, when crossing borders.

16.1 Sector specific indicators for the precious metals and stones sector

General

- Client indiscriminately purchases merchandise without regard for value, size, or color of precious stones.
- Purchases or sales that are unusual for client or supplier.
- Unusual payment methods, such as large amounts of cash, multiple or sequentially numbered money orders, traveler's checks, or cashier's cheques, or payment from third-parties.
- Attempts by client or supplier to maintain high degree of secrecy with respect to the transaction, such as request that normal business records not be kept.

19 Sources: http://www.fintrac.gc.ca/publications/guide/Guide2/2-eng.asp#s8-11; http://www.fatf-gafi.org/media/fatf/documents/reports/RBA%20for%20Dealers%20in%20Precious%20Metal%20and%20Stones.pdf

- A client orders item, pays for them in cash, cancels the order and then receives a large refund.
- A client asking about the possibility of returning goods and obtaining a cheque (especially if the client requests that cheque be written to a third party).
- A client paying for high-priced jewellery or precious metal with cash only.
- A client not asking for a reduced price or negotiating over the list price, in circumstances where such practices are traditional or common.
- Purchase appears to be beyond the means of the client based on his stated or known occupation or income.
- Client may attempt to use a third party cheque or a third party credit card.
- Funds come from an offshore financial centre rather than a local bank.
- Large or frequent payments made in funds other than Kenyan Shillings.
- Transaction lacks a business purpose.
- Purchases or sales that are not in conformity with standard industry practice.

Wholesalers

- The funds come from an offshore financial centre instead of a local bank.
- Over or under-invoicing, structured, complex, or multiple invoice requests, and high-dollar shipments that are over or underinsured.
- Unwillingness by a supplier to provide complete or accurate contact information, financial references or business affiliations.

- Counterpart presence, such as an affiliated store or branch or associate, in non-cooperative countries and territories or countries that are the subject of advisories issued by the FRC or the Financial Action Task Force.[20]

16.2 International typologies for precious metals and stones sector[21]

Retail gold purchases serves as direct method of laundering

A money launderer or someone, acting on their behalf, purchased gold from a retail merchant with funds that were generated directly by an illegal activity. In the case in question, a foreign national used the services of a bureau de change to buy 265 ingots of gold with a total value of about USD 2,440,000, paid in cash. These transactions took place over a period of 18 months.

The buyer, who did not have a bank account, alternated temporary jobs with periods of unemployment, suggesting that he was acting on behalf of a third party, whether a natural or legal person, who was probably involved in drug trafficking. The facts were forwarded to the prosecutor, and an investigation was initiated.

20 More information on which countries these characteristics (i.e., those mentioned in the last bullet) may apply to can be found at the following Web site: http://www.fatf-gafi.org/topics/high-riskandnon-cooperativejurisdictions (Information from the Financial Action Task Force about high risk and non-cooperative jurisdictions).

21 Sources: FATF Report on Money Laundering Typologies 2002-2003 of February 14, 2003

Gold purchases facilitate laundering

An asset management company was responsible for managing the bank portfolios of two individuals active in gold purchases in Africa. The purchased African gold was then sold to a gold working company in Country 1, which in turn forwarded its payments to the accounts of the sellers. Debits were regularly made from these accounts to accounts in Country 2. Desiring to verify the use of the funds, the asset management company requested its clients to provide a description of the channels used for making the payments for the gold in Africa.

The information received permitted the company to identify an intermediary residing in Europe who was responsible for paying the suppliers in Country 1. The individual in question was described as being closely associated with a corrupt regime in Africa. Based on this information, the asset management company reported the case to the FIU and proceeded to block the accounts. Information exchanged with foreign counterparts permitted the linking of this illegal trade with an ongoing foreign investigation, which targeted the same individual for arms trafficking. The case was transmitted to the office of the public prosecutor which is now working with the foreign authorities to dismantle these operations.

Criminal attempts to launder fraud proceeds through the diamond market

A known criminal who had benefited financially from a fraud that took place outside Country 1 attempted to send money to jewellers. This was with a view to purchasing precious stones. The financial institution holding the account had been concerned about the individual for some time and had made several suspicious transaction reports to the FIU in Country 1. The client attempted to send USD 8.2 million to the jewellers. Before this took place the bank took the commercial decision to freeze the accounts. The law enforcement agency made initial *investigations and was satisfied that the attempt to buy precious stones had been an attempt to launder the proceeds of the fraud.*

Diamond trading used as a cover for laundering of illicit funds.

One of the files developed by the FIU of Country 1 relates to a company with its registered office in an offshore centre, whose corporate object was especially broad and which, in particular, encompassed diamond trading. The account that this company held in Country 1 formed the object of numerous international funds transfers in foreign currencies originating in a tax haven. The funds, in very large sums, were then systematically and immediately withdrawn in cash. These withdrawals were made in large denominations of foreign currencies by a third party, who was a director of companies active in diamond trading.

In view of the regularity of some of these operations, it was difficult to associate them with any legal commercial activity in the diamond sector, where one would expect the level of the funds generated to fluctuate. From information gathered by the FIU, it appeared that this account was used as a channelling account with the aim of hampering any investigations into the origin and ultimate destination of the funds. This file was passed on for the laundering of funds associated with illicit diamond trafficking and forms the subject of a judicial investigation by the public prosecutor's office.

17. NON-PROFIT ORGANIZATIONS (NPOs)[22]

Charitable fundraising has been used to provide cover for the financing of terrorism. NPOs have been found to provide cover as well as financial and logistical support for the movement of terrorists and illicit arms. Although reporting institutions are called to exert vigilance when dealing with NPOs the implementation of AML/CFT obligations should not be misinterpreted or misused to suppress NPO activities not related to terrorist financing.

17.1 Sector specific indicators for non-profit organizations[23]

Financial support to known or suspected terrorist entities

- Use of cash couriers to transfer NPO funds into areas with known terrorist activity.
- NPO transactions are structured to avoid transaction reporting.
- Requests to transfer NPO funds are accompanied by vague justifications.
- NPO uses a shell organization as a funding conduit.
- NPO representatives fail to declare large currency amounts at international borders.
- NPO bank accounts are used by entities whose own accounts are under restrictions.
- NPO funds are comingled with personal or private business funds.

---

22 Best Practices – Combatting the Abuse of Non-Profit Organizations (Recommendation 8), FATF, June 2013. http://www.fatf-afi.org/media/fatf/documents/reports/Combating_the_abuse_of_NPOs_Rec8.pdf

23 Risk of Terrorist Abuse in Non-Profit Organizations, FATF, June 2014 http://www.fatf-gafi.org/media/fatf/documents/reports/Risk-of-terrorist-abuse-in-non-profit-organisations.pdf

- Bank accounts related to some programmes or activities are concealed.
- NPO funds are transferred to entities not associated with declared programmes or activities.
- NPO funds are transferred to other entities believed to be engaged in, or supporting, terrorist activities.
- NPO receives funds from entities believed to support terrorist activities.

Material support to known or suspected terrorist entities

- NPO facilities are frequented by individuals believed to support terrorist activities.
- Resources of an NPO are transferred to an entity known to be engaged in, or supporting, terrorist activity.
- NPO receives resources from an entity believed to support or be engaged in terrorist activities.
- NPO shares property with another organization believed to support terrorist activity.

Financial, material, or logistical support to proscribed terrorist entities

- NPO activities are found to support individuals or organizations whose identities correspond to those of listed entities.
- Existence of reliable information indicating an NPO or its representatives are engaged in supporting terrorist activity.
- Existence of reliable information indicating an NPO or its representatives are linked to third parties that support or are engaged in terrorist activity.
- The identities of proscribed terrorist entities are found to match the identities of NPO directing officials or employees.

Operations in areas where there are active terrorist threats *(NB: Many NPOs routinely operate in zones of conflict, so strictly geographical indicators should be supplemented by other programmatic or financial indicators of links to terrorist activities).*

- Entities operating in areas with known terrorist activity transfer funds into the bank accounts of an NPO, directing officials, or employees.
- NPO transfers resources or conducts activities in an area where terrorist entities are known to have a substantial presence.
- NPO records are maintained in an area where terrorist entities are known to have a substantial presence.
- NPO representatives travel frequently into areas where terrorist entities are known to have a substantial presence.

General operations and governance

- NPO has unreported activities, programmes, or partners.
- NPO expenditures are not consistent with its programmes and activities.
- NPO uses an unusually complex financial network for its operations.
- NPO avoids mandatory reporting requirements.
- NPO programmes and activities are vaguely explained to oversight or regulatory bodies.
- Third parties are used to open NPO bank accounts or carry out some transactions.
- NPO is unable to account for the final use of all of its resources.
- NPO is unable to account for the origin of its income.
- NPO has inconsistencies in its accounting and/or mandatory reporting.
- NPO has opaque leadership or decision-making structures.
- NPO or NPO representatives use falsified or conflicting documentation.

Support for recruitment

- Individuals involved in terrorist activities are linked to an NPO.
- NPO publications or speakers support terrorism or terrorist entities.
- Directing officials or employees of an NPO engage in activities that support recruitment to violence.

Other criminal activities

- Advertised NPO is fictitious.
- NPO facilities conceal criminal activities.
- NPO directing officials or employees are engaged in other criminal activities.
- Criminal activities consistent with terrorist operations are concealed in NPO facilities.
- NPO directing officials or employees are engaged in other criminal activities consistent with terrorist operations.

17.2 International typologies for non-profit organizations

An NPO is used to transfer money to suspected terrorists

An FIU in Country 1 obtained updated information from the United Nations Security Council consolidated list of designated persons and entities. One of the organizations conducted its operations under different variations of the same name in a number of countries. It was described as a tax-exempt NPO whose stated purpose is to conduct humanitarian relief projects throughout the world. Among the multiple locations provided by the United Nations for branches of this organization, several of the addresses were in Country 1.

The FIU received a suspicious transaction report on the NPO listed at one of the addresses indicated by the UN list. The report indicated bank accounts and three individuals with controlling interest on the address in Country 1. One of the individuals (Mr. A) had an address *that matched one of the addresses indicated on the UN list, and the other two individuals had addresses in two different countries. A search by the FIU revealed that Mr. A was linked to these organizations, as well as to four other international NPOs. Reports received by the FIU detail multiple wire transfers sent from locations of concern to the branches of the above-mentioned charity and to Mr. A.*

Non-profit front organization

In 1996, a number of individuals known to belong to the religious extremist groups established in the south-east of an FATF country (Country 1) convinced wealthy foreign nationals, living for unspecified reasons in Country 1, to finance the construction of a place of worship. These wealthy individuals were suspected of assisting in the concealment of part of the activities of a terrorist group. It was later established that Mr. S, a businessman in the building sector, had bought the building intended to house the place of worship and had renovated it using funds from one of his companies. He then transferred the ownership of this building, for a large profit, to Group Y belonging to the wealthy foreigners mentioned above.

This place of worship intended for the local community in fact also served as a place to lodge clandestine "travellers" from extremist circles and collect funds. For example, soon after the work was completed, it was noticed that the place of worship was receiving large donations (millions of dollars) from other wealthy foreign businessmen. Moreover, a Group Y worker was said to have convinced his employers that a "foundation" would be more suitable for collecting and using large funds without attracting the attention of local authorities. A foundation was thus reportedly established for this purpose.

It is also believed that part of Mr. S's activities in heading a multipurpose international financial network (for which investments *allegedly stood at USD 53 million for Country 1 in 1999 alone) was to provide support to a terrorist network. Mr. S had made a number of trips to a south central Asian country and an FATF country. Amongst his assets were several companies registered in Country 2 and elsewhere. One of these companies, located in the capital of Country 1, was allegedly a platform for collecting funds. Mr. S also purchased several buildings in the south of Country 1 with the potential collusion of a notary and a financial institution.*

When the authorities of Country 1 blocked a property transaction on the basis of the foreign investment regulations, the financial institution's director stepped in to support his client's transaction and the notary presented a purchase document for the building thus ensuring that the relevant authorisation was delivered. The funds held by the bank were then transferred to another account in a bank in an NCCT (non-cooperative countries or territories identified by the FATF) jurisdiction to conceal their origin when they were used in Country 1.

Even though a formal link has not as yet been established between the more or less legal activities of the parties in Country 1 and abroad and the financing of terrorist activities carried out under the authority a specific terrorist network, the investigators suspect that at least part of the proceeds from these activities have been used for the terrorist-related purpose.

Fraudulent solicitation of donations

One non-profit organization solicited donations from local charities in a donor region, in addition to fund raising efforts conducted at its headquarters in a beneficiary region. This non-profit organization falsely asserted that the funds collected were destined for orphans and widows. In fact, the finance chief of this organization served as the head of organised fundraising for Osama bin Laden. Rather than *providing support for orphans and widows, funds collected by the non-profit organization were turned over to al-Qaida operatives.*

Branch offices defraud headquarters of an international NPO

The office director for a non-profit organization in a beneficiary region defrauded donors from a donor region to fund terrorism. In order to obtain additional funds from the headquarters, the branch office padded the number of orphans it claimed to care for by providing names of orphans that did not exist or who had died. Funds then sent for the purpose of caring for the non-existent or dead orphans were instead diverted to al-Qaida terrorists.

In addition, the branch office in a beneficiary region of another non-profit organization based in a donor region provided a means of funnelling money to a known local terrorist organization by disguising funds as intended to be used for orphanage projects or the construction of schools and houses of worship. The office also employed members of the terrorist organizations and facilitated their travel.

Aid worker's misuse of position

An employee working for an aid organization in a war-ravaged region used his employment to support the ongoing activities of a known terrorist organization from another region. While working for the aid organization as a monitor for work funded in that region, the employee secretly made contact with weapons smugglers in the region. He used his position as cover as he brokered the purchase and export of weapons to the terrorist organization.

18. SACCOS

This section applies to Savings and Credit Societies which constitute two broad categories depending on the initial objectives, that is financial and non-financial categories. Financial Saccos are formed to provide financial intermediation on behalf of their members in one way or the other. They include deposit taking (DT) Saccos, non-deposit taking, land and housing and investment Saccos. They are vulnerable to money laundering and terrorism financing, as they have been able to offer financial intermediation similar to banking sector in terms of scale and use of innovative products.

18.1 **Specific Indicators for Savings and Credit Societies**

S/No	Indicator	Category
1	Source of funds is a loan from high ML/TF risk foreign jurisdictions without adequate support documents	Behaviour
2	Member appears to be acting according to instructions of unknown or inappropriate person(s).	Behaviour
3	Member reluctance to provide written explanation for large deposits	Behaviour
4	Member offers some form of incentive in return for favourable treatment on loan request.	Behaviour
5	Member provides doubtful or vague information upon due diligence.	Behaviour
6	Member refuses to produce personal identification documents.	Behaviour
7	Purpose of loan applied by a SACCO member does not make economic sense	Behaviour
8	Member wishes to have credit and debit cards sent to international or domestic destinations other than his or her place of business.	Behaviour
9	SACCO officers' lifestyle not matching known source of income	Behaviour

S/No	Indicator	Category
10	SACCO officer reluctant to take annual leave	Behaviour
11	Complaint by SACCO members they did not sign loan guarantee forms presented for loan application	Behaviour
12	Member has a defensive stance to questioning at onboarding or when transacting	Behaviour
13	Member makes inquiries/statements indicating a desire to avoid reporting or tries to persuade the reporting entity not to file/maintain required reports	Behaviour
14	Unusual interest in the AML/CFT controls of the SACCO	Behaviour
15	Member shows unusual interest in accounts at the SACCO that are unrelated to them	Behaviour
16	Member is accompanied to the FOSA banking hall by suspicious persons	Behaviour
17	Member exits the SACCO membership due to heightened level of due diligence	Behaviour
18	Potential member (partially onboarded) declines to join purely on level of due diligence controls of the SACCO	Behaviour
19	Collusion by SACCO officials to onboard members without due diligence in order to deliberately launder funds	Behaviour
20	Member appears to be a proxy and is often accompanied by a PEP who appears to have control over the SACCO account	Behaviour
21	Member deliberately exits from insurance products before maturity despite loss and penalties	Behaviour
22	Source of funds for SACCO product is from cancellation of insurance products without rationale	Behaviour

S/No	Indicator	Category
23	Member visits the safety deposit box area immediately before making cash deposits.	Behaviour
24	Unexplained frequent entry and exit to the SACCO	Behaviour
25	All identification presented is foreign or cannot be checked for some reason.	KYC
26	Member insists on only providing digital signature on documents without reasonable explanation.	KYC
27	Member only submits copies of personal identification documents.	KYC
28	Member produces seemingly false identification or identification that appears to be counterfeited, altered or inaccurate.	KYC
29	Member positively matched to a sanction and designated persons/entities list	KYC
30	Member wants to establish identity using something other than his or her personal identification documents.	KYC
31	Member has provided invalid contact information to the SACCO at onboarding.	KYC
32	Common mobile number, address and employment reference being used to open multiple accounts in different names.	KYC
33	Same identity details used by multiple people to open accounts at a SACCO	KYC
34	Identification details provided by member match those identified by the media, whistleblowers, law enforcement and/or intelligence agencies as being linked to criminal activities	KYC
35	Identity theft for loan applications and requests for funds to be wired to other account	KYC
36	Walk in customer frequently buys bankers cheque from FOSA with unclear sources of cash	Transactional

S/No	Indicator	Category
37	Member takes large equity release loan secured by assets whose source cannot be explained	Transactional
38	A member obtains a SACCO loan and makes accelerated payments to offset the same without explanation	Transactional
39	Funds received in member SACCO account recalled by sender institution citing fraud	Transactional
40	Member provides questionable support documents for loans or to support large cash deposits	Transactional
41	Complaint from the public that SACCO account has been used to defraud	Transactional
42	Unexplained transactions in member account under investigation by law enforcement agencies	Transactional
43	SACCO account used to receive funds from contracted entities at public institution where member has influence	Transactional
44	Member using the account to receive suspicious funds from cryptocurrency	Transactional
45	SACCO receives unusual funds from member in a sanctioned country.	Transactional
46	SACCO receives unusual funds from member in country with weak AML/CFT regime or tax heaven.	Transactional
47	Mismatch in profile of the SACCO member and remittances received from foreign jurisdiction	Transactional
48	Unusual transaction involving third parties	Transactional
49	A member makes frequent cash deposits using SACCO FOSA followed by immediate withdrawal without rationale	Transactional

S/No	Indicator	Category
50	A pattern of deposits followed immediately by a significant portion of those funds being withdrawn or transferred to unrelated account.	Transactional
51	Accumulation of large balances, inconsistent with the known turnover of the Member's business.	Transactional
52	Accumulation of large balances, inconsistent with the known turnover of the Member's business, and subsequent transfers to unrelated account.	Transactional
53	Member takes frequent cheque encashment loans with cheques whose source cannot be explained	Transactional
54	Pattern of unusual cash deposits to enhance loan limits	Transactional
55	Member without business relationship or family ties frequently makes deposits to a SACCO account holder	Transactional
56	Member has numerous accounts and deposits unexplained cash into each of them with the total credits being a large amount.	Transactional
57	Member orders wire transfers/EFTs through financial institution in small amounts in an apparent effort to avoid triggering identification or reporting requirements.	Transactional
58	Member pays substantial down payment for assets in unusual cash deposit and balance is financed by SACCO loan	Transactional
59	Member sends frequent wire transfers/EFTs to foreign countries, but business does not seem to have connection to destination country.	Transactional
60	The Transactional activity (level or volume) is inconsistent with the members apparent financial standing, their usual pattern of activities or occupational information	Transactional

S/No	Indicator	Category
61	A series of complicated transfers of funds that seems to be an attempt to hide the source and intended use of the funds	Transactional
62	Transaction conducted is unusually low considering the transaction cost incurred by the member	Transactional
63	Member is unaware of details surrounding incoming funds, such as the ordering client details, amounts or reasons	Transactional
64	Cash deposits in multiple SACCO FOSA branches by unknown third parties without explanation	Transactional
65	Rapid purchase and disposal of real estate assets/land acquired from different entities but having the same membership	Transactional
66	Pattern of unexplained SACCO loan buy offs without economic rationale	Transactional
67	Loans taken backed by capital markets assets such as treasury bills which the SACCO cannot match to member profile	Transactional
68	Member receives or initiates payments for dual-use goods linked to proliferation financing	Transactional
69	Unexplained activity in accounts of members who are adversely mentioned by the media, whistleblowers, law enforcement and/or intelligence agencies as being linked to criminal activities	Transactional
70	Member who is a PEP makes unusual deposits or withdrawals which are not consistent with their known profile	Transactional
71	Member who is a PEP receives unexplained deposits to their SACCO account from third parties	Transactional
72	Unusual Transactional patterns on digital channels such as rapid pesalink credits followed by withdrawals from agents	Transactional

S/No	Indicator	Category
73	Large cash deposits for savings followed by self-guarantee loans which are deliberately defaulted upon	Transactional
74	Member joins diaspora sacco but source of funds is purely domestic and unexplained	Transactional
75	SACCO prepaid cards with unexplained transactions in high risk jurisdictions	Transactional
76	Member account has frequent large card transactions in high risk jurisdictions	Transactional
77	Deliberate Nesting of large RTGS transactions to evade scrutiny by commercial banks	Transactional
78	Unexplained cash deposits conducted at different high risk locations/porous border points	Transactional
79	SACCO accounts for minors used to conduct unexplained large business transactions	Transactional
80	Exchanging small denomination bills into larger denomination bills	Transactional
81	SACCO account ATM card used for frequent purchases of Bitcoin or virtual currencies	Transactional
82	Salaried SACCO member account appears to receive multiple funds from unrelated third parties	Transactional
83	SACCO member account appears to receive multiple funds from unrelated third parties	Transactional
84	Unexplained frequent cash deposits by SACCO member in multiple small denomination notes	Transactional
85	Portion of loan disbursement transferred to SACCO officers responsible for the loan approval	Transactional

18. COMMENTS?

This guidance will be reviewed on a periodic basis. If you have any comments or suggestions to help improve them, please send your comments through the contacts page of the FRC's website: http://www.frc.go.ke/contacts

19. HOW TO CONTACT THE FINANCIAL REPORTING CENTRE

For further information on the Financial Reporting Centre and its activities, or about reporting suspicious transactions, please go to the FRC's Web site at: http://www.frc.go.ke

Financial Reporting Centre
Private Bag, 00200
Nairobi
0709 858 000 / 0731 944 000
www.frc.go.ke

Supported by

german
cooperation
DEUTSCHE ZUSAMMENARBEIT

Implemented by

giz Deutsche Gesellschaft für Internationale Zusammenarbeit (GIZ) GmbH